

Organizational Behaviour

for Exit Exam based on Blueprint

❑ **Chapter One: An Over View of Organizational Behaviour**

- Understand the core management principles in organization behaviour.
- Understand how cognitive, behavioural, and emotional outcomes contribute to and sustain organizations.

❑ **Chapter Two: Foundation of Individual Behaviour and Learning in an Organization**

- Realize how individual differences in personality, attitudes, emotions, and perceptions influence behaviour in organizations.

❑ **Chapter Three: Foundation of Group Behaviour**

- List the stages of group formation
- Identify the characteristics of effective group

❑ **Chapter Four: Concepts of Motivation and Their Applications**

- Discuss theories of motivation

❑ **Chapter Seven: Culture and Diversity**

- Successfully manage diversity in organizations.
- Discuss organizational norms and how does organizational culture affect behaviour in organizations .

❑ **Chapter Eight: Power and Politics in an Organization**

- Understand the impact of organizational politics, and power on behaviour in organizations.

❑ **Chapter Nine: Organizational Design and Structure**

- Know how communication affects organizational processes and what makes f or effective communication.

Chapter One

An overview of OB

1.1. What is an Organizational Behaviour?

- ❖ The term **Organization** is derived from the word “**Organicism**” which means an **organized body of independent parts sharing common activity**.
- ❖ An **organisation** is a **unit or a collection of people** that are structured and managed to meet a need or pursue collective goals.
- ❖ **Organisation** is a combination of the necessary human beings, materials, tools, equipment and working space, appurtenances brought together in systematic and effective co-relation to accomplish some desired object.
- ❖ According to Mooney and Reiley: “**Organisation** is defined as the **form of human association** for attaining common objectives.”
- ❖ According to Talcott Parsons: “**Organisation** is defined as a **social unit** which is deliberately constructed and reconstructed to seek specific goals.”
- ❖ According to Chaster I. Barnard: “**Organisation** is a system of consciously coordinated activities of two or more persons.
- ❖ **Behaviour** refers to the **actions and reactions of an organism**, usually in relation to environment. It can be conscious or unconscious, overt or covert and voluntary or involuntary.

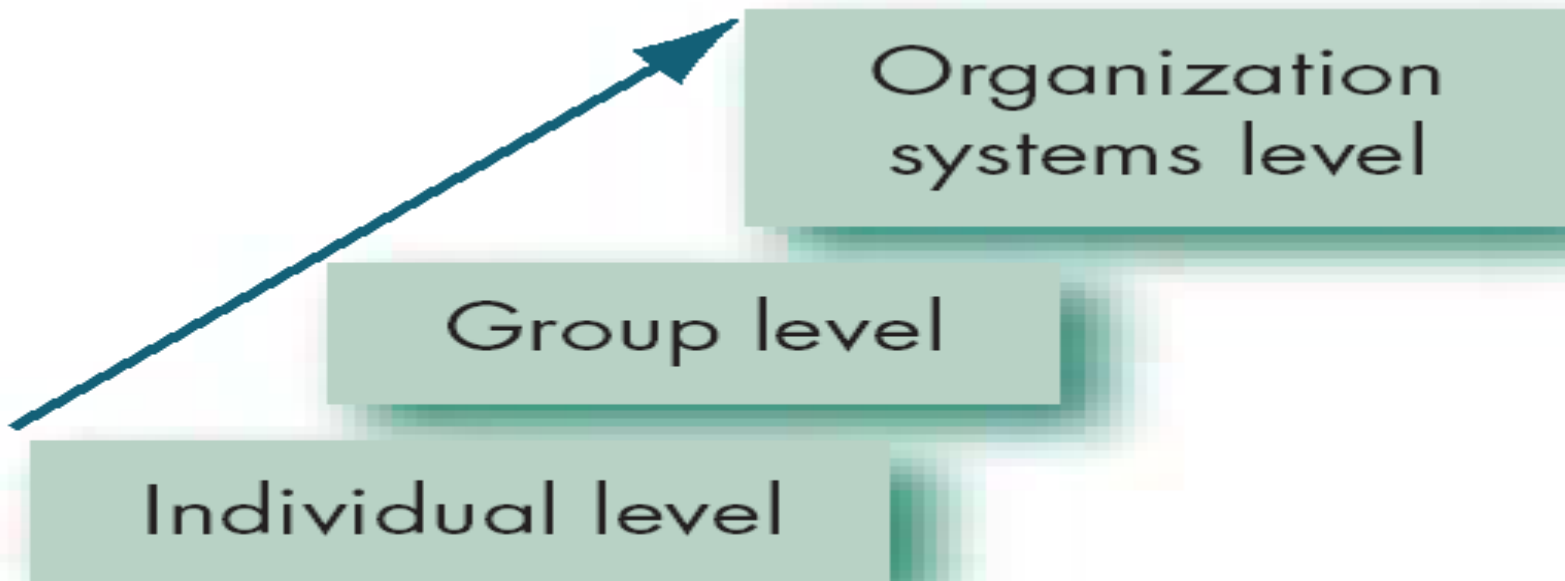
Organizational Behavior (OB)

- A field of study that **investigates the impact** that individuals, groups, and structure have on behavior within organizations, for the purpose of applying such knowledge toward improving an organization's effectiveness (**Robbins**).
- OB is the study of **how people behave** in an organizations **as individuals and as teams** and **how organizations structure, and human resource** (i.e. employees and managers) to achieve their goals. (Nahavandi and Melekezadeh)

1.2. Basic OB Model

Model: An abstraction of reality, **simplified representation of some real-world phenomenon.**

- It proposes that three **levels of analysis in OB.**
- The model identifies its primary dependent and independent variables



1. The first level of analysis, called *micro OB*, studies the individual.

- It is the smallest possible level of analysis in organizations
- It **focus on** topics on **individual concepts** and includes topics such as perception, attitudes, personality, motivation, and learning.

2. The second and **middle level** of analysis in OB is the **small group** that is made up of individual employees within an organization.

- ❑ The study of **small groups in OB** includes issues of **group size and composition**, cohesion, trust, conflict management, team building, group decision making, and leadership.

3. The third level of analysis in OB, called **macro OB**, is concerned with *larger groups*, such as departments, and organizational processes.

- Macro OB topics include issues such as the design and structure of organizations, organizational culture and strategy, organizational power and politics, change, and organizational effectiveness.

OB researchers draw conclusions about causal relationships of two (dependent and independent) variables.

- ✓ **Dependent variables** are the key factors we want to explain or predict.

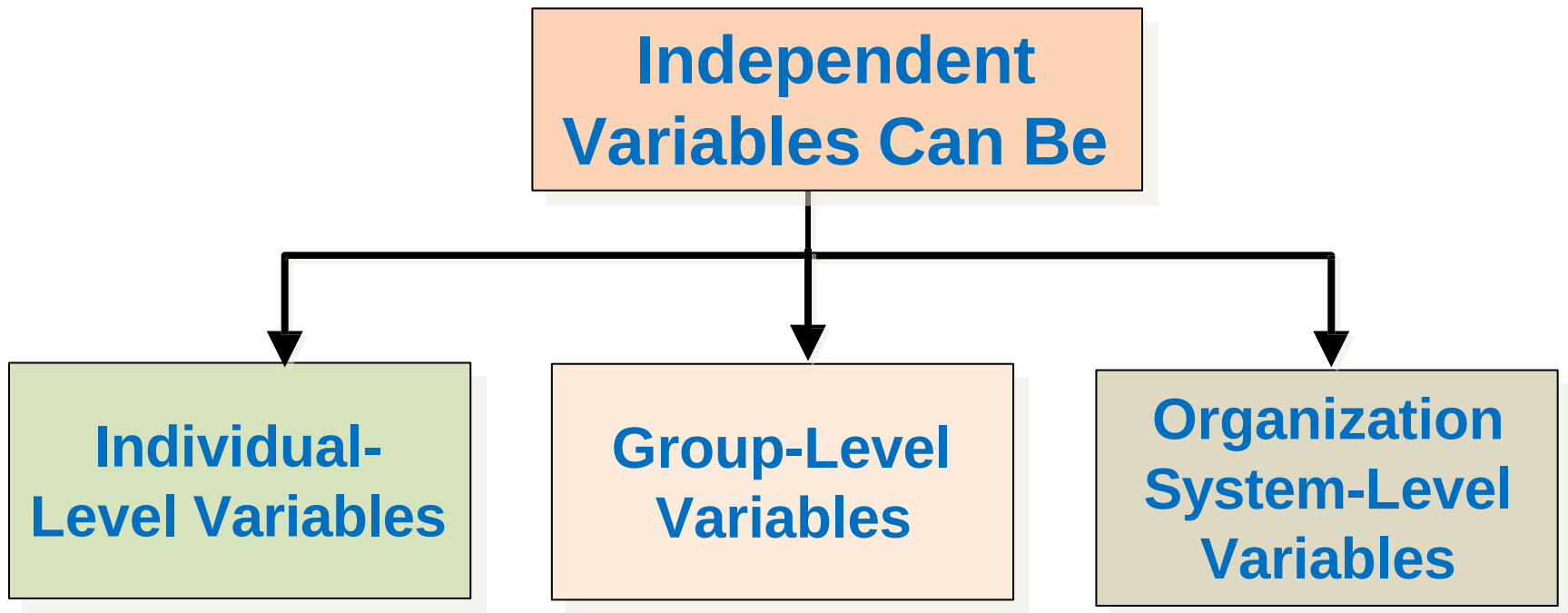
The primary **dependent variables** in OB are:

- ✓ **Productivity**: A performance measure that includes effectiveness and efficiency.
- ✓ **Absenteeism**: The failure to report to work.
- ✓ **Turnover**: The voluntary and involuntary permanent withdrawal from an organization.
- ✓ **Job satisfaction** (A general attitude toward one's job; a positive feeling of one's job resulting from an evaluation of its characteristics).

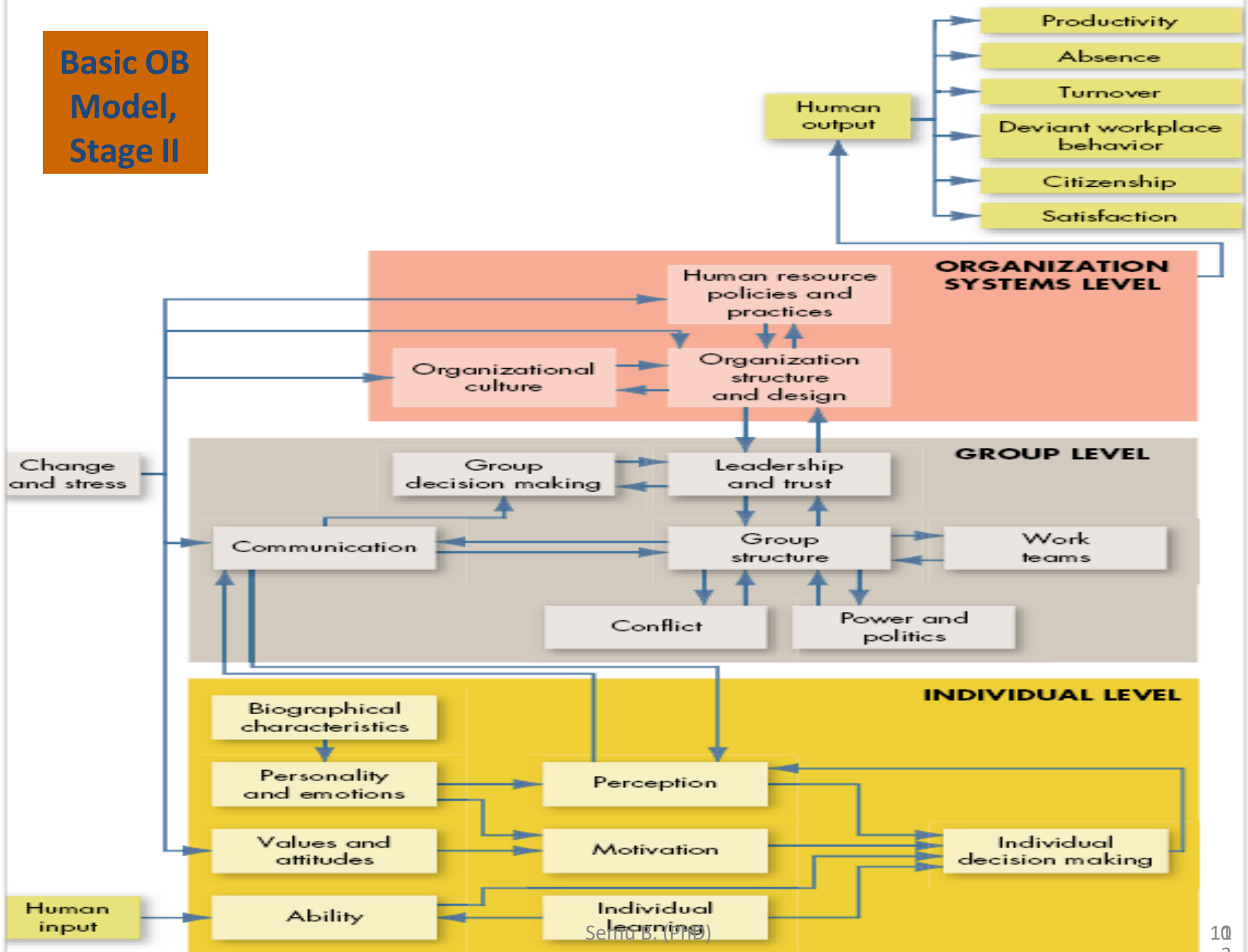
The Independent Variables

Independent variable

The presumed **cause** of some change in the dependent variable; major **determinants** of a dependent variable.



Basic OB Model, Stage II



1.3. Characteristics of OB

- It is a way of thinking about individuals, groups and organizations
- It is multidisciplinary
- There is a distinctly humanistic-orientation;
- It is a performance-oriented
- It is application-oriented/problem solving
- It is a systematic study

1.4. Development of Organizational Behavior

- While the seeds of organizational behavior **were planted more than 200 years ago**, current OB theory and practice are essentially products of the **20th century**.
- The major contributors to the theory of OB are:
 - ❖ Scientific management theory
 - ❖ Behavioral theory, and
 - ❖ Contingency theory.

❖ Scientific Management Theory (F.W.Taylor)

- Scientific management is a technique for organizing or reorganizing work methods to give managers greater control over the labor process, that is, the exchange of effort for rewards.
- According to scientific management theory, people are primarily motivated by economic rewards and will take direction if offered the opportunity to better improve their economic positions.
- Taylor believed that because of higher productivity and the wage incentive both management and workers would be encouraged to respond positively.
- His work was criticized for dehumanizing the work place and treating workers like machines.

❖ Behavioral Management Theory

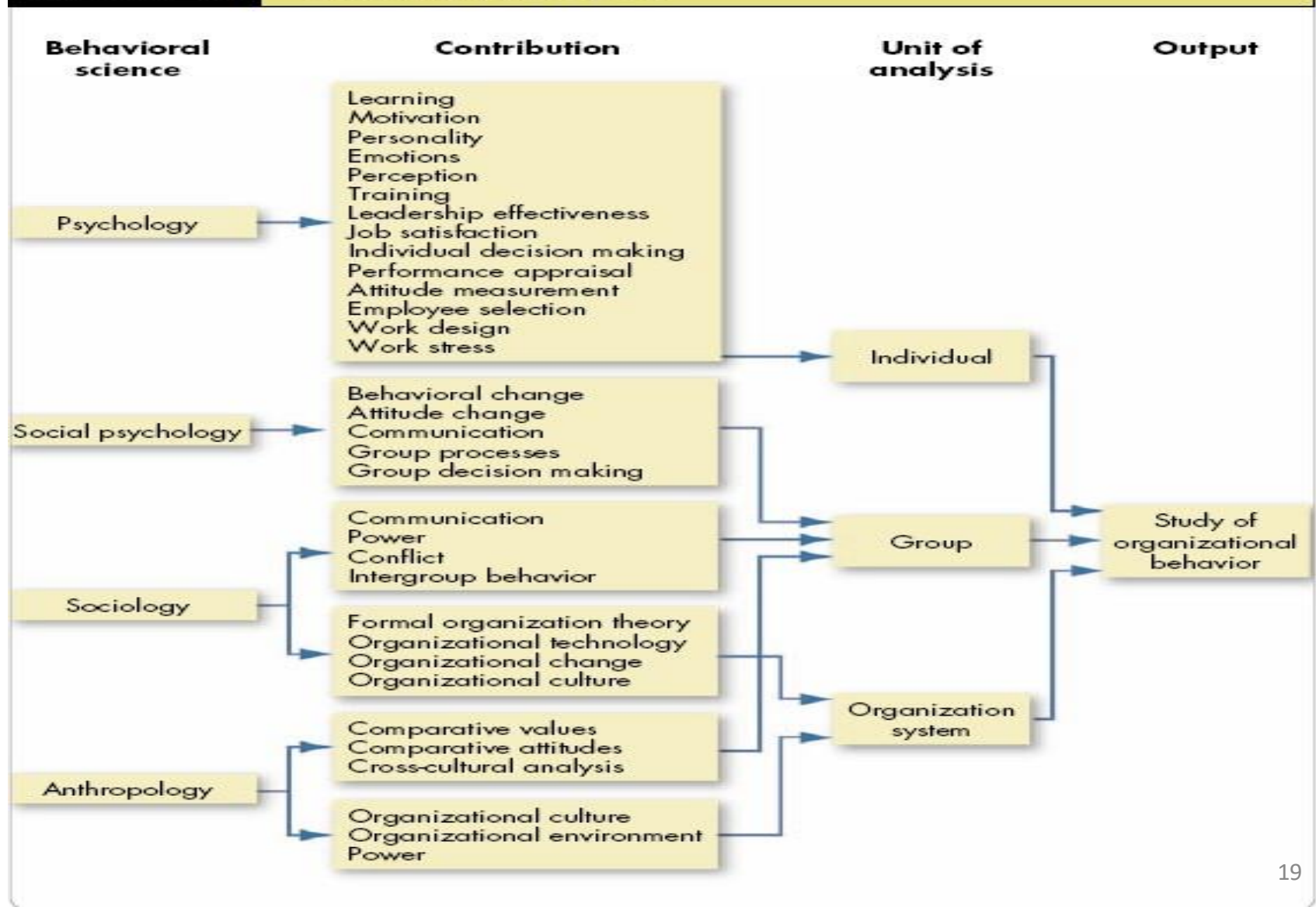
- Recognized employees as individuals with concrete human needs as part of work groups, and as members of a large society.
- Theorists include *Robert Owen* (father of Personnel Management), George Elton Mayo, Abraham Maslow, and Douglas McGregor.
- *Hawthorne studies* conducted by G.E. Mayo can be thought of as the first, founding step in organizational behavior, and it also gave rise to a new school of management thought, the Human Relations Movement.

❖ Contingency Management Theory

- According to contingency management theory there is **no one best way of managing or managerial technique universally applicable in all situations**; rather, it depends upon a given set of circumstances.
- Thus, contingency approach encourages managers to view OB within situational context.
- The contingency management theory sends a clear message to managers in today's global economy: carefully read the situation and then be flexible enough to adapt.

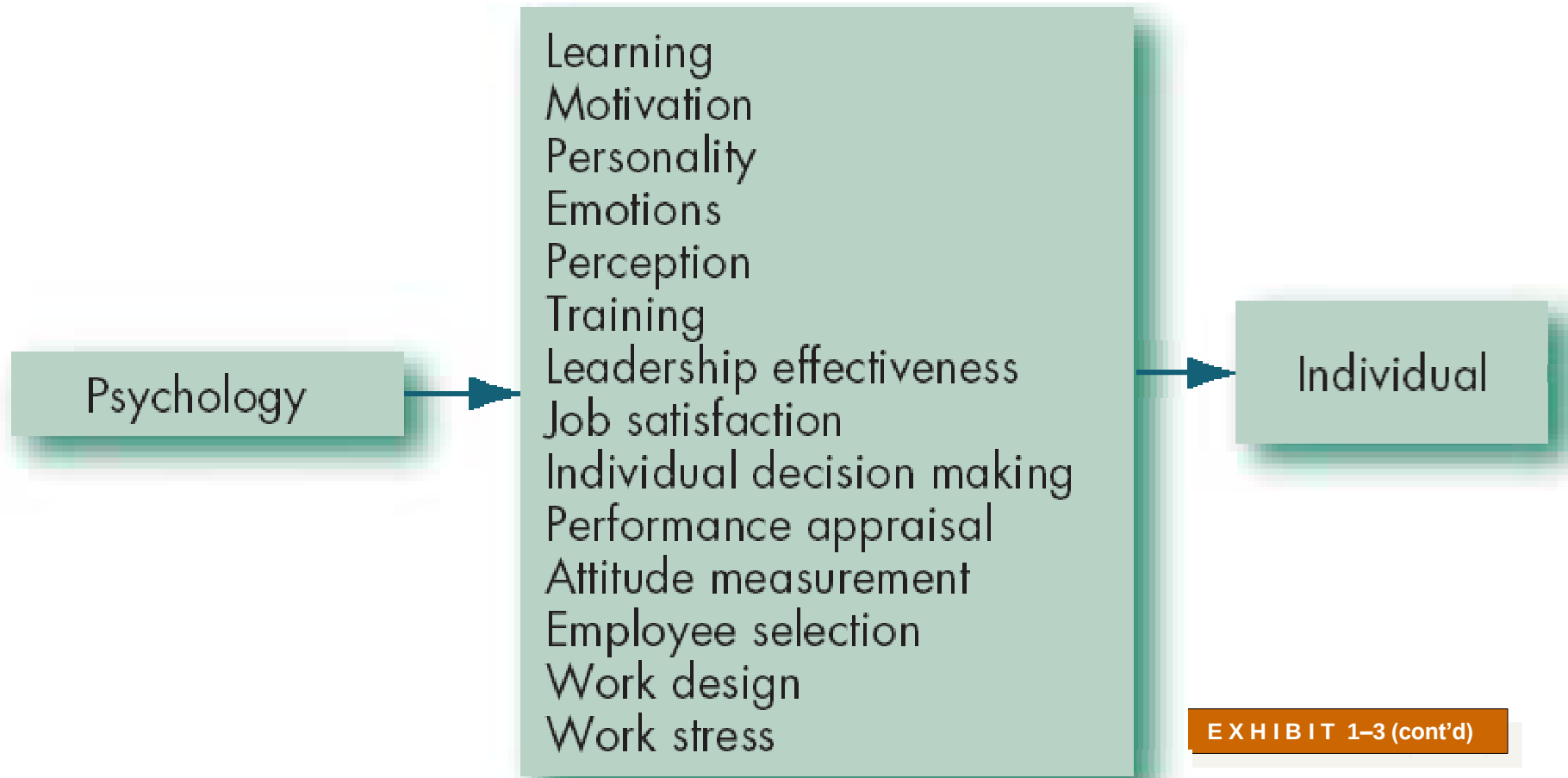
1.5. Contributing Disciplines to the OB Field

Exhibit 1-3 Toward an OB Discipline



PSYCHOLOGY

The science that seeks to measure, explain, and sometimes change the **behavior of humans and other animals.**



SOCIOLOGY

The study of **people in relation to their fellow human beings.**

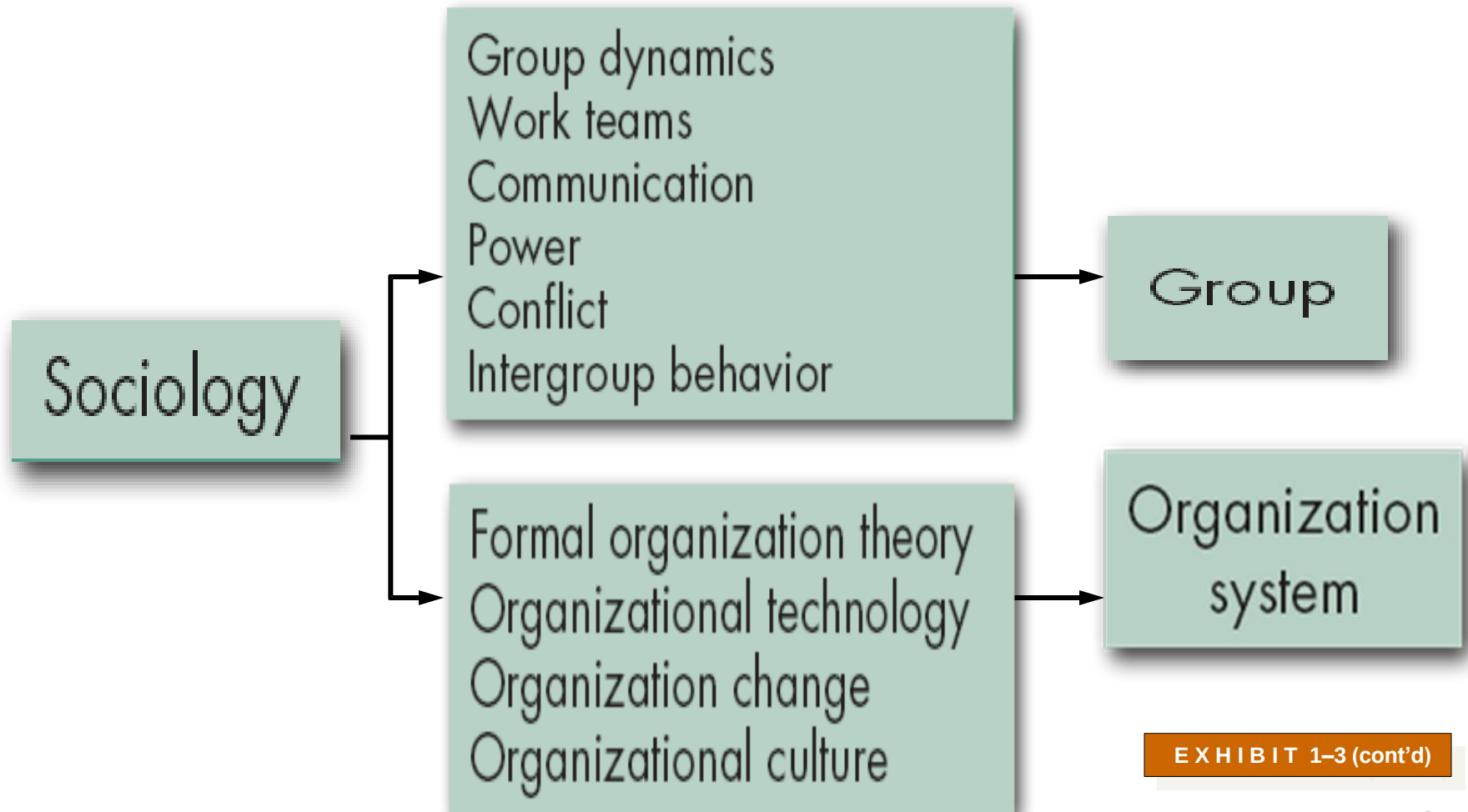


EXHIBIT 1-3 (cont'd)

SOCIAL PSYCHOLOGY

An area within psychology that blends concepts from psychology and sociology and that focuses on the influence of people on one another.

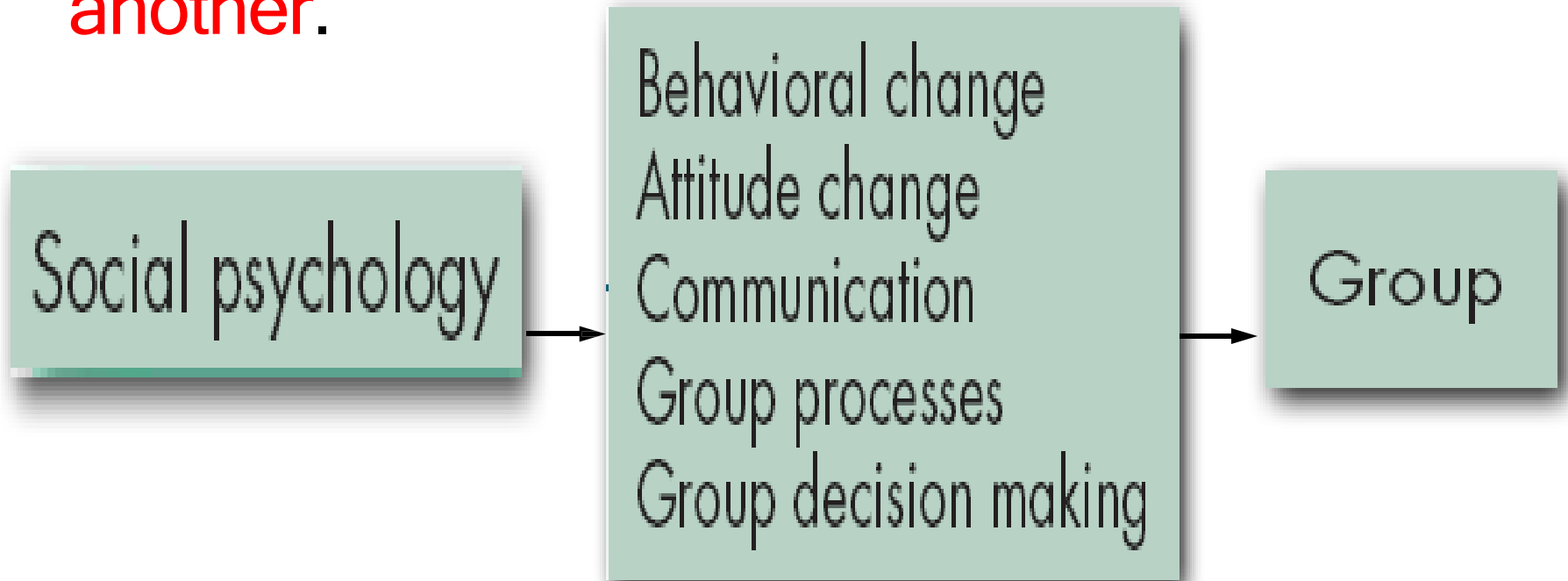


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ANTHROPOLOGY

The study of **societies to learn about human beings and their activities.**

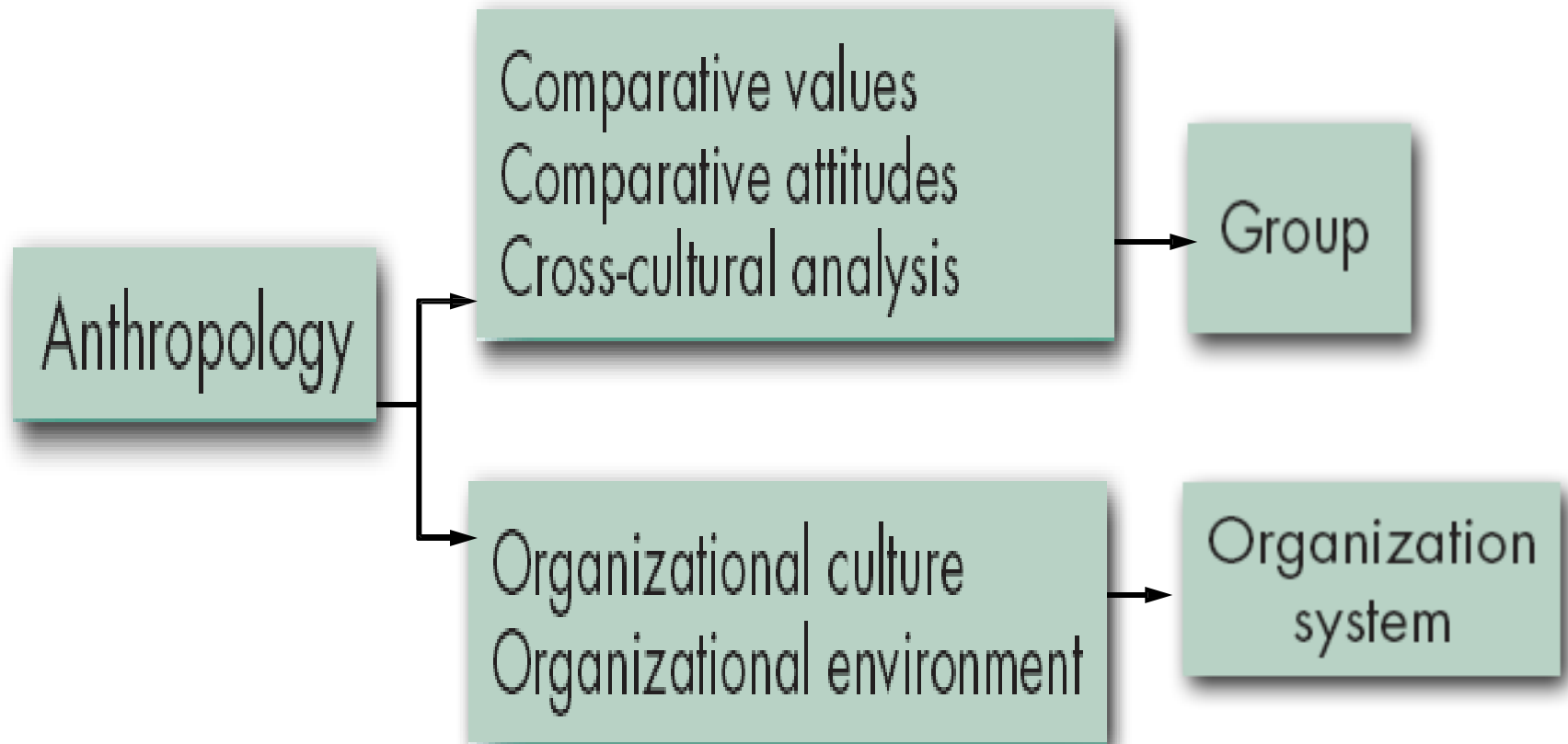


EXHIBIT 1-3 (cont'd)

POLITICAL SCIENCE

- It is the study of **the behavior of individuals and groups within** a political environment.
- Specific topics of concern include:



Economics

- Any organization **to survive and sustain must be aware** of the economic viability of their effort.

1.6. Organizations as a system

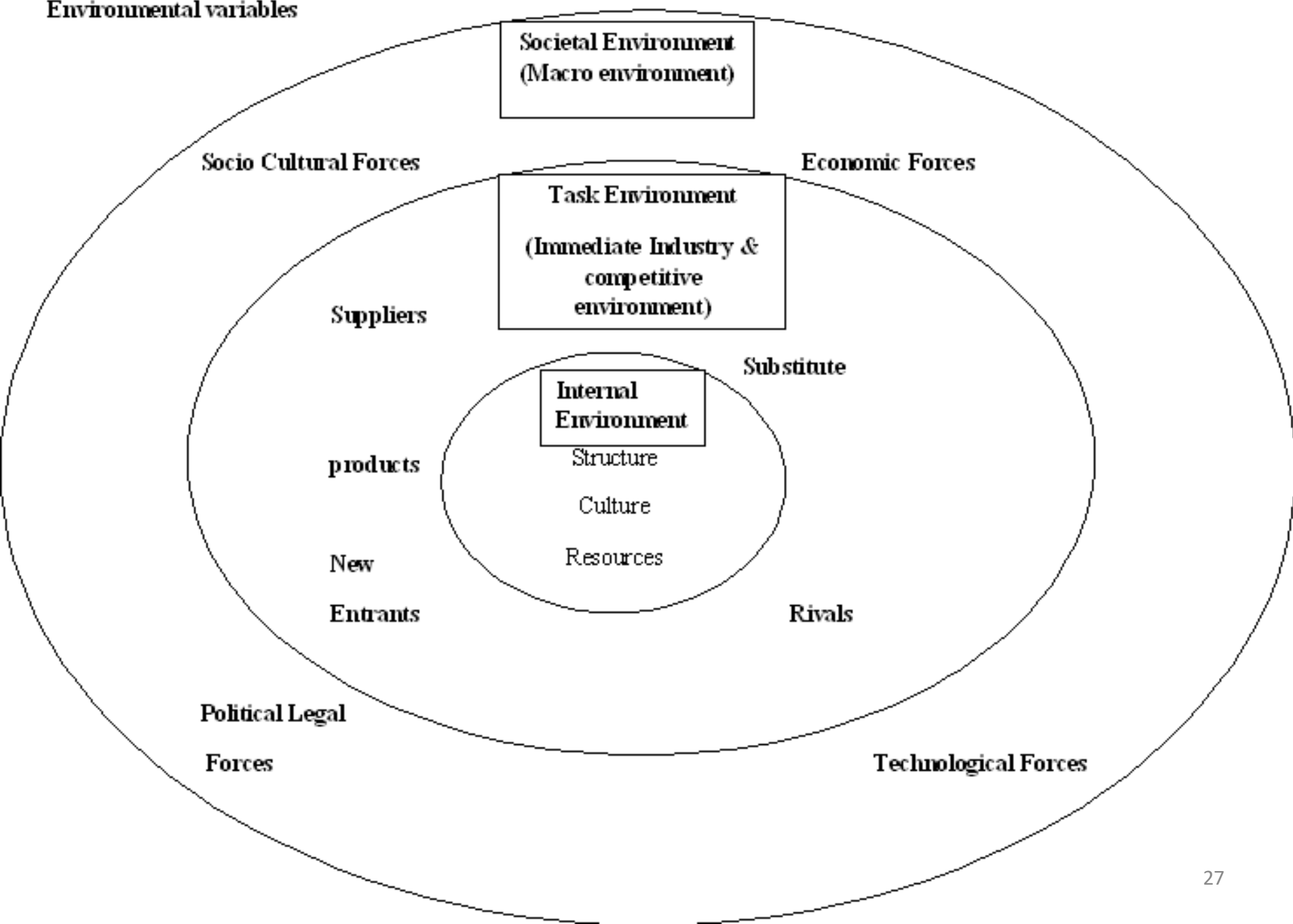
- What is an Organization?

Organizations are social entities that are goal-oriented, designed as deliberately structured, coordinated activity systems, and are linked to the external environment (Daft, 2004).

- Organizations are **open systems** which are affected by, and in turn affect, their external environments.
- **System** is an entity that maintains its **existence and functions as a whole** through the intersection of its parts.
- **System** is a whole made up of parts, each parts affects the other parts work.

Figure 1.2

Environmental variables



- **External environment**

- All relevant forces outside a firm's boundaries

- *relevant* - factors to which managers must pay attention

- Two elements comprise the external environment

- ***Macro-environment*** - fundamental factors that generally affect all organizations

- ***Competitive environment*** - immediate environment surrounding a firm

- **The macro environment**

- Most general elements in the external environment that can potentially influence strategic decisions
- All organizations are affected by the general components of the macro-environment
 - Laws and regulations
 - Politics
 - Technology
 - Socio-cultural and demographic variables (Social issues and the natural environment)
 - Economy

- **Competitive environment**

- Comprises the **specific organizations with which the organization interacts**
- **Michael Porter** - defined the competitive environment (Threat of new entrants, threat of substitute pdt/svs, Bargaining power(Bp) of buyers, Bp of suppliers, rivalry among existing companies)
- Successful managers:
 - react to the competitive environment; and
 - act in ways that actually shape or change the competitive environment

How cognitive, behavioural, and emotional outcomes contribute to and sustain organizations?

Cognitive Outcomes: Cognitive outcomes refer to **the mental processes involved in perception, learning, reasoning, and decision-making.**

These outcomes contribute to organizational sustainability by:

- **Enhancing problem-solving abilities:** Employees with strong cognitive skills can analyze complex problems, develop innovative solutions, and adapt to changing circumstances, which helps organizations navigate challenges and seize opportunities.
- **Improving decision-making:** Sound decision-making relies on cognitive abilities such as critical thinking, judgment, and foresight. Well-informed decisions lead to better outcomes, increased efficiency, and reduced risks, thereby contributing to organizational success and sustainability.
- **Fostering creativity and innovation:** Cognitive diversity stimulates creativity and innovation within organizations. By encouraging different perspectives and approaches, organizations can develop new products, services, and processes that drive growth and competitive advantage.

Behavioural Outcomes: Behavioral outcomes encompass the actions, interactions, and reactions of individuals within an organization.

These outcomes contribute to organizational sustainability by:

- **Promoting teamwork and collaboration:** Positive behavioral outcomes, such as effective communication, cooperation, and conflict resolution, foster a collaborative work environment. Strong teamwork improves productivity, enhances decision-making, and builds a cohesive organizational culture.
- **Facilitating employee engagement and commitment:** Behaviors such as job satisfaction, motivation, and organizational citizenship contribute to employee engagement and commitment. Engaged employees are more likely to invest their time and effort into achieving organizational goals, leading to improved performance and retention.
- **Enhancing organizational culture:** Behavioral outcomes shape organizational culture by reinforcing norms, values, and expectations. A supportive and inclusive culture promotes employee well-being, satisfaction, and loyalty, which in turn sustains organizational resilience and adaptability.

Emotional Outcomes: Emotional outcomes pertain to the feelings, attitudes, and emotional responses of individuals within the organization.

These outcomes contribute to organizational sustainability by:

- **Building positive relationships:** Emotional intelligence enables individuals to understand and manage their own emotions and empathize with others. Positive relationships based on trust, respect, and empathy contribute to a supportive and cohesive organizational environment.
- **Increasing resilience and well-being:** Emotionally resilient employees are better equipped to cope with stress, setbacks, and challenges. Organizations that prioritize employee well-being and provide support systems, such as counseling and wellness programs, foster a healthier and more resilient workforce.
- **Enhancing customer satisfaction and loyalty:** Emotional connections with customers drive satisfaction, loyalty, and advocacy. Employees who are empathetic, responsive, and attuned to customer needs contribute to positive customer experiences and long-term relationships, which are essential for organizational success.

CHAPTER TWO

FOUNDATION OF INDIVIDUAL BEHAVIORS

1.1 INTRODUCTION

- When an organization acquires its individual employees, they enter into *psychological contract*, meaning that the individual employee and organization each expect to contribute to and receive benefits from the employment relationship.
- Accordingly, employers expect that employees will contribute: *effort, loyalty, time*, etc and employees expect that the organization will provide rewards such as *pay, status*, and *career opportunities*.

- When both parties value each other's contributions, then it could be said that both parties to this contract are satisfied.
- And that there is a good *person-job fit*. Perfect fit occurs when each party gets what it needs though not absolute.
- ➡ Managing the person-job fit requires understanding employees as unique individuals because individual differences affect the way employees perform.
- ➡ Managing individual behavior requires understanding individual differences and how they affect the organization.

Foundations of Individual Behavior

□ Biographical Characteristics

1. **Age** - What effect does age actually have on turnover, absenteeism, productivity, and satisfaction?

- **Age and Turnover**

The older you get, the less likely you are to quit/leave your job.

- **Age and Absenteeism**

- older employees have **lower rates of avoidable absence** than do younger employees.
- However, they **have higher rates of unavoidable absence**, probably due to the poorer health associated with aging and the longer recovery period that older workers need when injured.

- **Age and Job Satisfaction**

Satisfaction tends to continually **increase among professionals as they age**, whereas it falls among non professionals during middle age and then rises again in the later years.

- 👉 **Age and Productivity**

- One comprehensive review of the research found that **age and job performance were unrelated**. Moreover, that finding seems to be true for almost all types of jobs, professional and nonprofessional (Robbins, S.P.8th ed. P.43).

2. Gender

- There is no significant difference in job productivity between men and women.
- Similarly, there is no evidence indicating that an employee's gender affects job satisfaction.
- Women have higher rates of absenteeism than men do. This is because many cultures place home and family responsibilities on the woman.

3. Marital status

- Married employees have **fewer absences**, **undergo less turnover**, and are more satisfied with their jobs than are their unmarried coworkers.

4. Tenure (የቆይታ ጊዜ)

- The most recent evidence demonstrates **a positive relationship between seniority and job productivity**.
- Seniority is negatively related to absenteeism
- **Tenure has consistently** been found to be **negatively related to turnover** and has been suggested as one of the single best predictors of turnover.
- Evidence indicates that tenure and satisfaction are positively related.

5. Ability

- Ability refers to an individual's capacity to perform the various tasks in a job and it includes intellectual and physical abilities.
- ✓ **Intellectual abilities:** are those needed to perform mental activities. Intelligence quotient (IQ) tests, for example, are designed to ascertain one's general intellectual abilities. Jobs differ in the demands they place on incumbents to use their intellectual abilities.
- ✓ **Physical abilities:** The capacity to do tasks demanding stamina/energies, dexterity, strength, and similar characteristics.

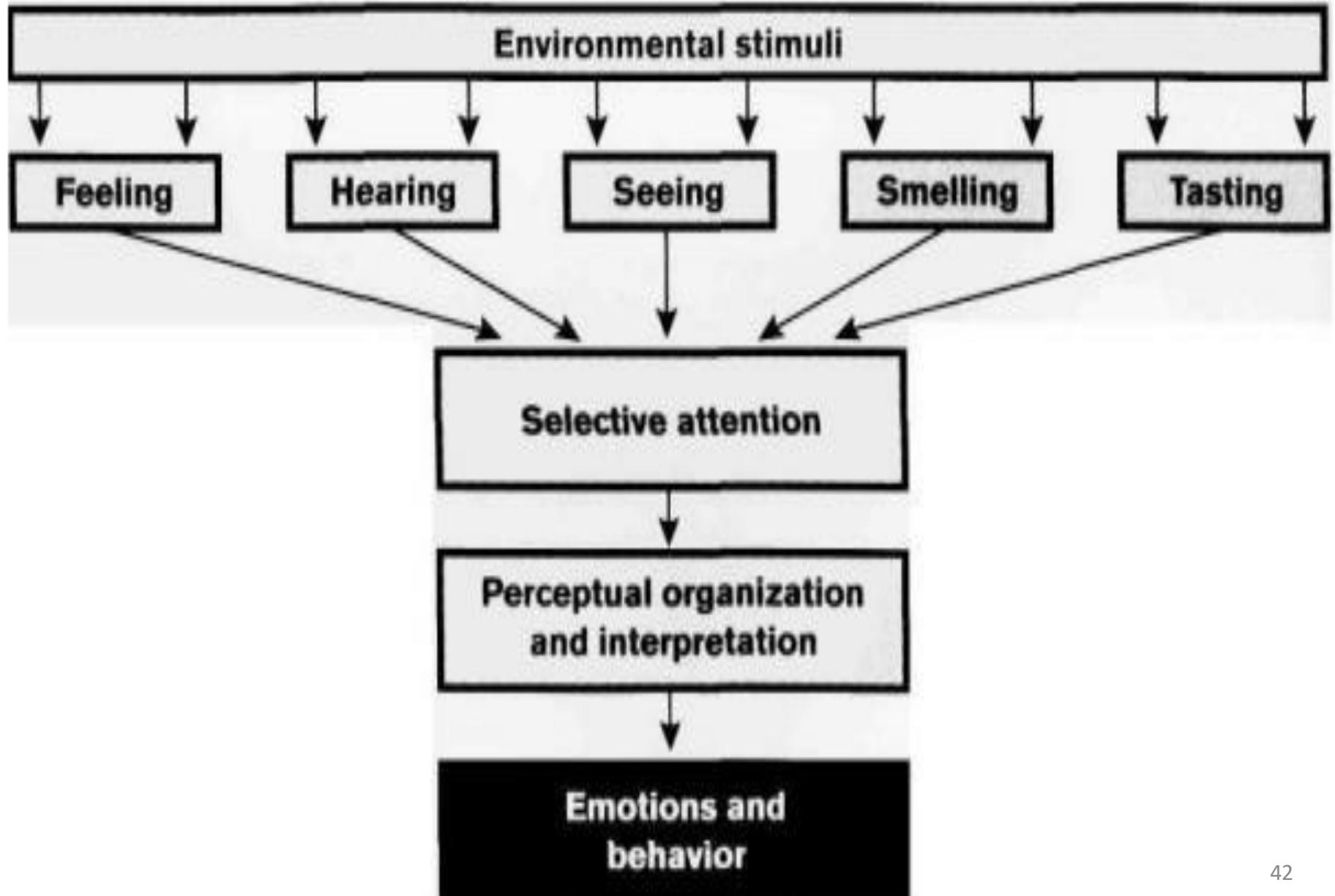
2.1. Perception, and Why Is It Important?

Perception

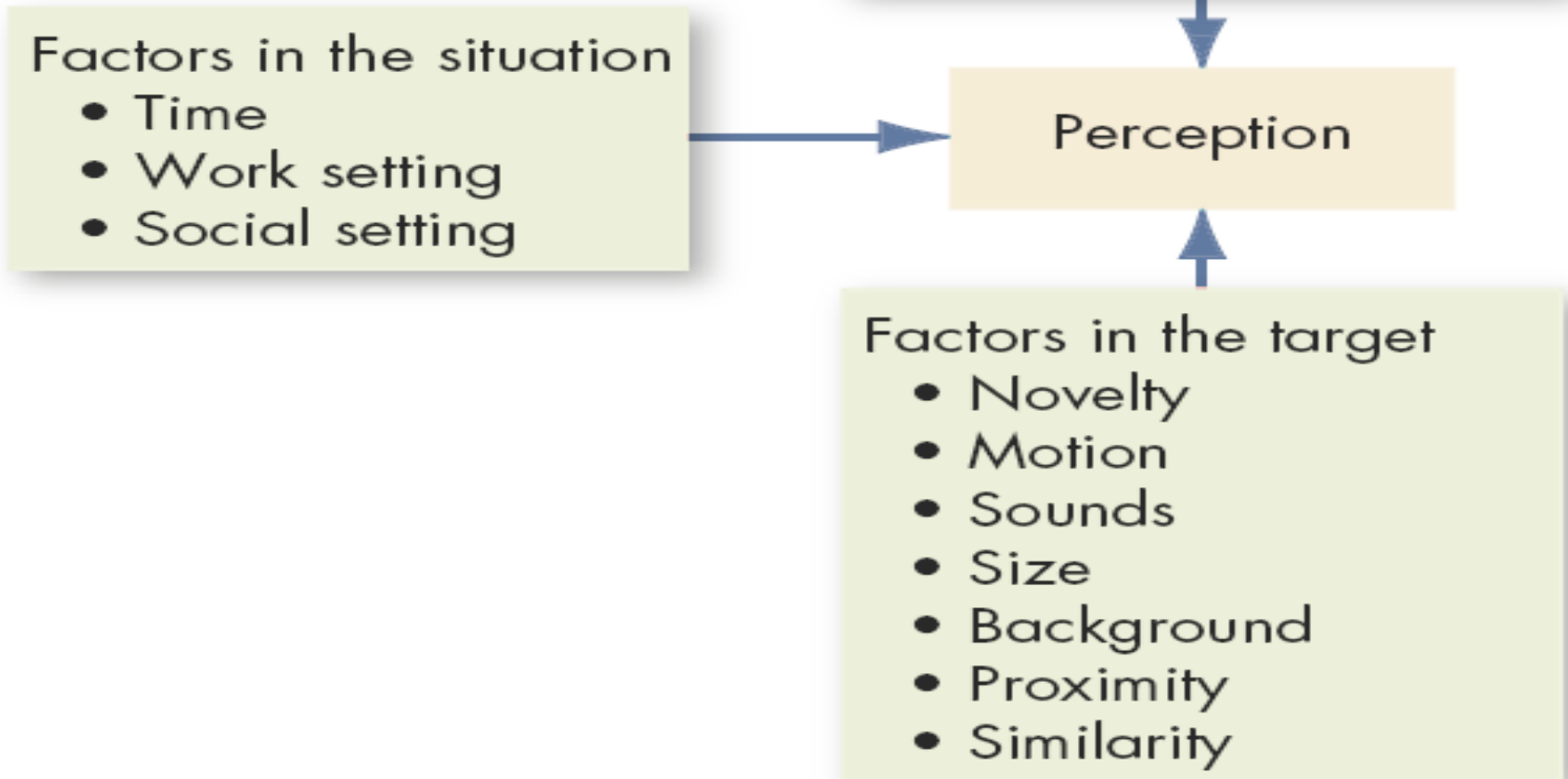
A **process** by which individuals organize and interpret their sensory impressions in order to give meaning to their environment.

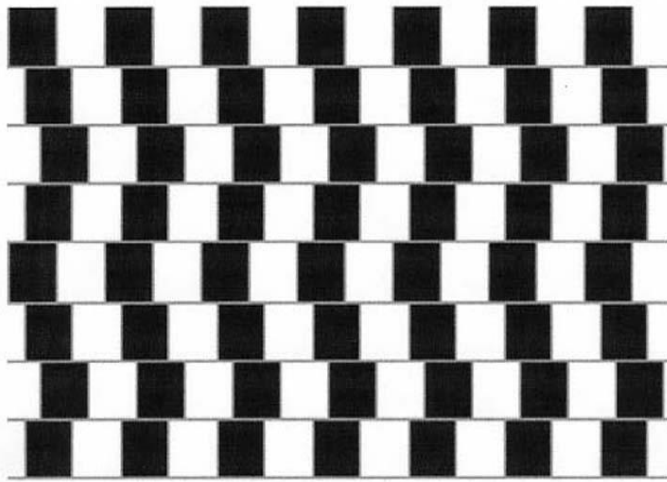
- *People's behavior is based on their **perception of what reality is**, not on reality itself.*
- *The world as it is perceived is the world that is behaviorally important.*

Perceptual Process

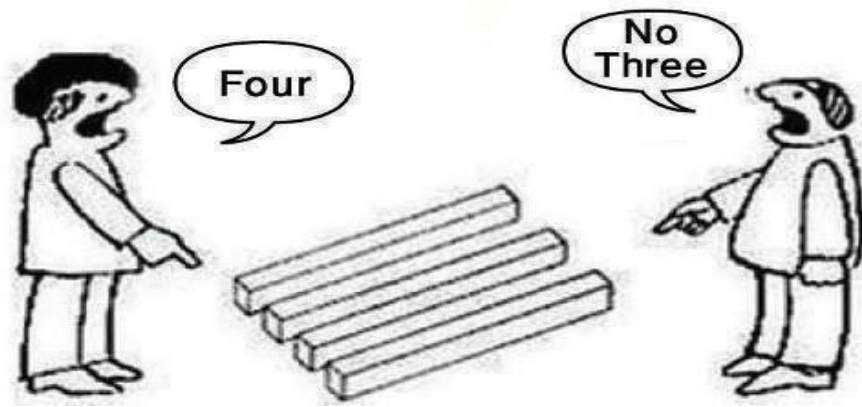


Factors That Influence Perception

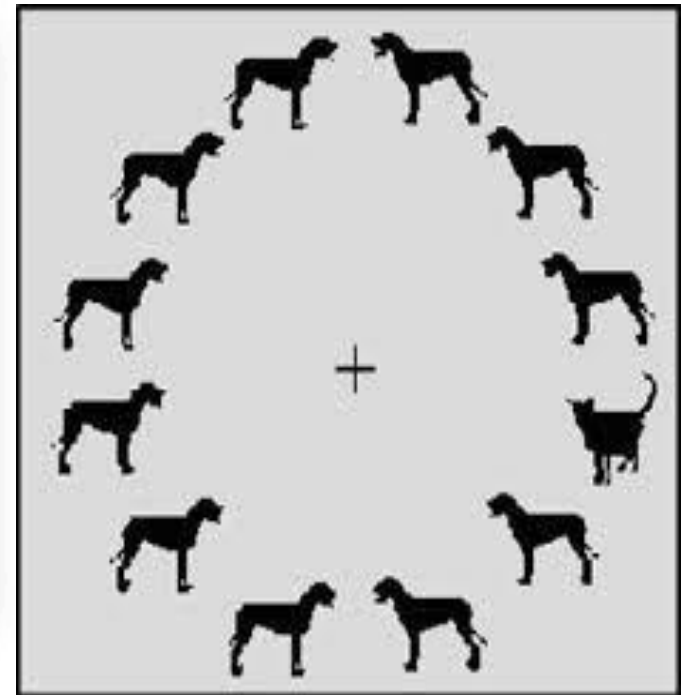
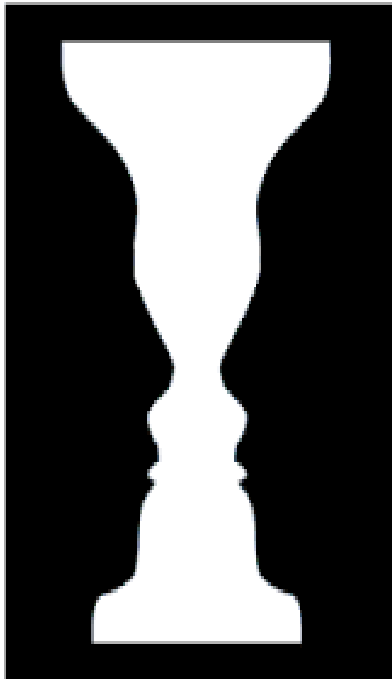




It is really confusing!!!



Are the horizontal lines parallel or do they slope?



Person perception (Perception and its Application in Organizations)

- ❖ Managers must spend time understanding how each individual interprets reality and where there is a significant difference between what is seen and what exists, try to eliminate the distortions.
- ❖ Failure to deal with the differences when individuals perceive the job in negative terms will result in increased absenteeism, and turnover and also lower job satisfaction.
- ❖ **Employment interview:** interviewer's perception
- ❖ **Performance Evaluation:** Performance evaluator's perception E.g. **Halo effect**- rating employees' **only using 1 trait**
- ➔ **Performance Expectations:** when a manager expects +ve things from a group, the group delivers.
- ➔ **Employee Loyalty:** managers' opinion about employees, whether or not they are loyal to the organization.

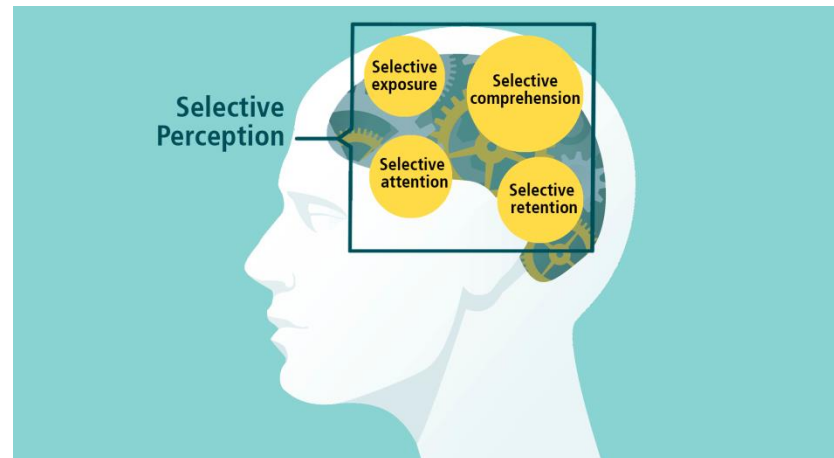
Factors That May Distort Our Judgment On Others

- 1. Selective Perception:** We selectively interpret that we see on the basis of our interests, background, experience, and attitudes. And since we see what we want to see, we can draw unnecessary conclusions from an ambiguous situation.
- 2. Halo Effect:** It is drawing a general impression about an individual on the basis of a single characteristic (trait).
- 3. Contrast Effects:** refers to evaluations of a person's characteristics that are affected by comparisons with other people recently encountered that rank higher or lower on the same characteristics. For example, a candidate is likely to receive a more favourable evaluation if preceded by weak applicants and less favorable evaluation if preceded by strong applicants.

4. Projection: It is a tendency to project one's own characteristics to other people. People who engage in projection tend to perceive others according to what they themselves are like rather than according to what the person being observed is really like. We assume that others are similar to us.

5. Stereotyping: It is judging someone on the basis of one's perception of the group to which he/she belongs. Since stereotypes are widespread many people make inaccurate perceptions on the basis of a false premise about a group.

- **Selective perception** refers to the tendency of individuals to filter, interpret, or pay attention to certain aspects of information while ignoring or minimizing others, based on their own biases, beliefs, interests, or expectations.
- This phenomenon influences how people perceive and make sense of the world around them, including their interactions within organizations.
- **Customer Feedback:** In customer-facing roles, employees may selectively perceive feedback from customers, paying more attention to positive or negative comments depending on their mood, attitude, or expectations. This bias can affect service quality, customer satisfaction, and brand reputation if not addressed appropriately.



2.2. ATTITUDES

Attitude is an evaluative statement – either favorable or unfavorable – concerning objects, people, or events.

Attitudes:

They reflect how one feels about something.

It contains the following components

Cognitive component

The **opinion or belief** segment of an attitude.

Affective Component

The **emotional or feeling** segment of an attitude.

Behavioral Component

An intention **to behave in a certain way toward someone** or something.

- **Attitude** is a predisposition/tendency to **respond in a positive or negative way to someone or something** in one's environment.
- It contains 3 components: **Cognitive, Affective and Behavioral.**
- **Eg**
 - **Cognitive component:** **Beliefs and values:** my job lacks responsibility. Job responsibility is important.
 - **Affective component:** **Feelings:** I don't like my job.
 - **Behavioral component (RESULT):** **Intended behavior:** I'm going to quit my job.

How attitude is formed: Sources

Attitudes are acquired from parents, teachers, peer group members, and popular individuals.

- Experience with object
- Learning
- Family, friends, society , religion
- Economic status and culture
- Mass communication

Types of Attitudes

OB focuses only on few job - related attitudes' (JBA)

Job Satisfaction (JS): refers to an individual's general attitude toward his job.

A collection of positive and/or negative feelings that an individual holds toward his or her job.

Job Involvement (JI)

Identifying with the job, actively participating in it, and considering performance important to self-worth.

Organizational Commitment (OC)

Identifying with a particular organization and its goals, and wishing to maintain membership in the organization (Affective, Normative, and Continuance Commitment)

Commitment

Affective Commitment

*The employee's emotional
connection with
the organization*

Normative Commitment

*The employee's loyalty &
moral connection
with the organization*

Continuance Commitment

*The cost employee
associates with leaving
an organization*

Employees with high affective commitment:

- Are happy to stay with the organization
- Enjoy talking about their organization to others
- Feel the organization's problems are their own
- Feel part of the family and emotionally attached to the organization
- Feel a strong sense of belonging to the organization

Attitudes and consistency

- ❖ Research has generally concluded that **people seek consistency among their attitudes** and between their attitudes and their behavior, i.e. individuals seek to reconcile divergent attitudes and align their attitudes and behavior so they appear ***rational and consistent***.
- ❖ When there is an inconsistency, forces are initiated to return the individual to an equilibrium state where attitudes and behavior are again consistent.
- ❖ This can be done by altering the attitudes or the behavior or by developing a rationalization for the discrepancy.

2.3. What is Personality?

Personality: The sum total of ways in which an individual reacts and interacts with others; measurable traits a person exhibits.

Personality Traits

Enduring characteristics that describe an individual's behavior.

Personality Determinants

- Heredity
- Environment
- Situation

PERSONALITY DETERMINANTS

A) HEREDITY

- It reflects to those factors that were determined at conception.

Characteristics like
Physical stature, Facial
attractiveness,
Temperament/nature,
Reflexes,
Energy level

B) Environmental factors

Culture

Early conditioning

Norms

**Prevalent/established among
family**

Friends,

Social groups

C) Situation

- ❖ It has an **impact or influence on the effects** of heredity and environment.
- ❖ An individual's personality, while **generally stable and consistent**, does change in different situations.
- ❖ However, it is true that the different demands of different situations bring out different aspects of an individual's personality.

E.g. Position holders Vs Ordinary person

2.3.1 The Big Five Model of Personality Dimensions

Extroversion: a person's comfort level with relationships. Sociable, gregarious/unreserved, and assertive/positive

Agreeableness: an individual's propensity/tendency to defer/accept to others. Good-natured, cooperative, and trusting.

Conscientiousness: number of goals on which a person focuses. Responsible, dependable, persistent, and organized.

Emotional Stability: a person's ability to withstand stress. Calm, self-confident, secure under stress (positive), versus nervous, depressed, and insecure under stress (negative).

Openness to Experience: a person's rigidity of beliefs and range of interests. Curious, imaginative, artistic, and sensitive

2.3.2. Major Personality Attributes Influencing OB

1. Core Self-evaluation
 - a. Self-esteem
 - b. Locus of Control
2. Machiavellianism
3. Self-monitoring
4. Risk taking
5. Type A vs. Type B personality

A) Core Self-Evaluation: Two Main Components

- **Self Esteem:** Self-esteem is how we value and perceive ourselves. It's based on our opinions and beliefs about ourselves, which can feel difficult to change. We might also think of this as self-confidence. It is directly related to expectations for success. High SEs believe that they possess the ability they need to succeed at work. Low SE Heavy self criticism, tending to create a habitual state of dissatisfaction with yourself.

Locus of Control: The degree to which people believe they are masters of their own fate.

➤ **Internals (Internal locus of control):** Individuals who believe that they control what happens to them.

➤ **Externals (External locus of control):** Individuals who believe that what happens to them is controlled by outside forces such as luck or chance.

B) Machiavellianism

Machiavellianism(Mach): Degree to which an individual is pragmatic/practical , maintains emotional distance, and believes that ends can justify means.

Conditions Favoring High Machs

- Direct interaction with others
- Minimal rules and regulations
- Emotions distract for others

Low Machs are on the opposite side of the Mach spectrum and are characterized as being highly submissive.

Low Machs are more easily persuaded; high Machs are more resistant to persuasion.

Low Machs are more empathic; high Machs are more logical.

C) Self-Monitoring

Self-Monitoring: A personality trait that measures an individual's ability to adjust his or her behavior to external, situational factors.

High Self-Monitors

- Receive better performance ratings
- Likely to emerge as leaders

Low Self-Monitors

Care little about modifying their behavior in response to the situation and tend to maintain the same opinions and attitudes regardless of the situation.



D) Risk-Taking

- **High Risk-taking Managers**

- Make quicker decisions
- Use less information to make decisions
- Operate in smaller and more entrepreneurial organizations

- **Low Risk-taking Managers**

- Are slower to make decisions
- Require more information before making decisions
- Exist in larger organizations with stable environments

Risk Propensity/tendency

- Aligning managers' risk-taking propensity to job requirements should be beneficial to organizations.

E) Personality Types

Type A's personality

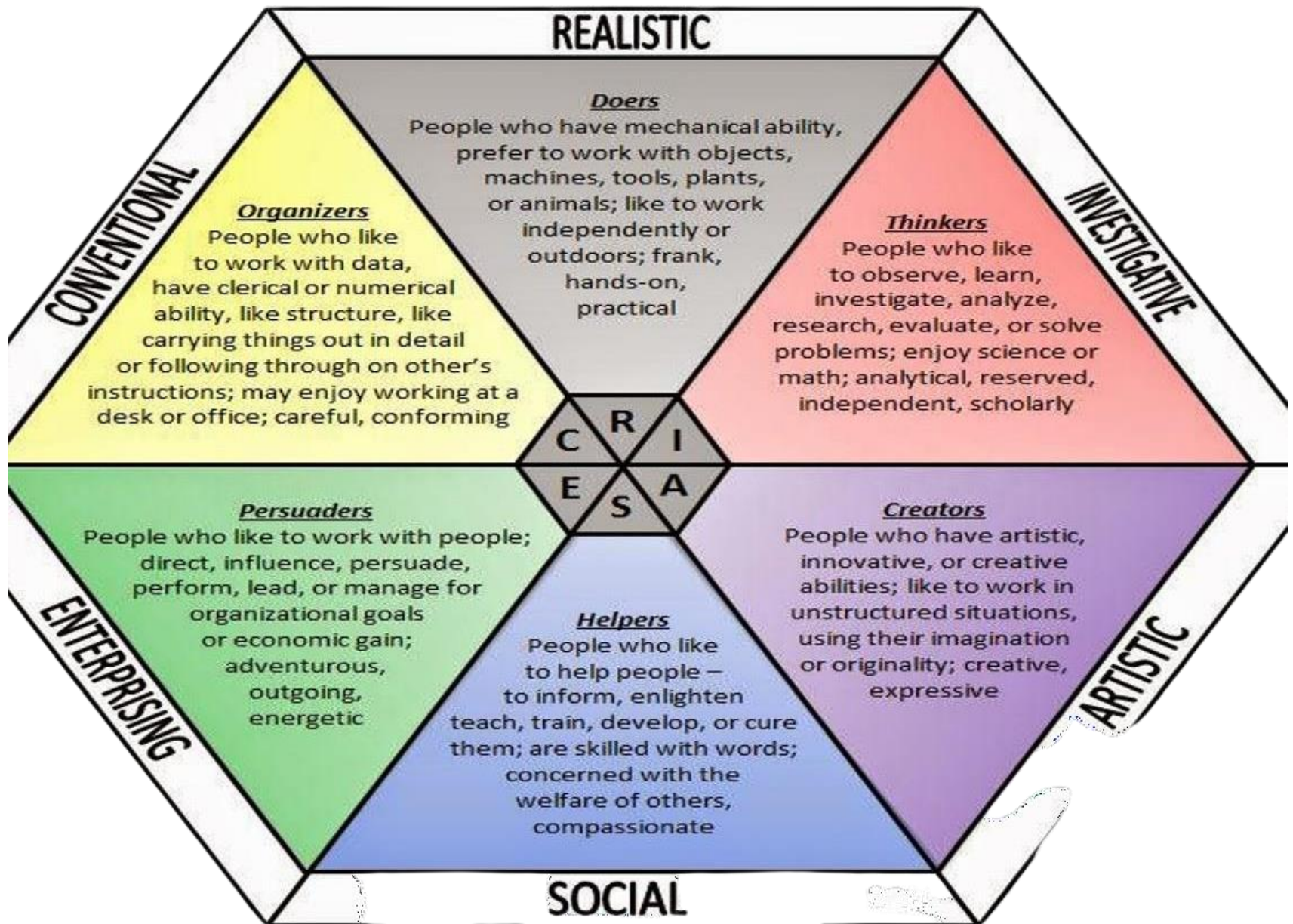
1. Are always moving, walking, and eating rapidly;
 2. Feel impatient with the rate at which most events take place;
 3. Strive to think or do two or more things at once;
 4. Cannot cope with leisure time;
 5. Are obsessed with numbers, measuring their success in terms of how many or how much of everything they acquire.
-

Type B's personality

1. Never suffer from a sense of time urgency with its accompanying impatience;
2. Feel no need to display or discuss either their achievements or accomplishments;
3. Play for fun and relaxation, rather than to exhibit their superiority at any cost;
4. 5/12/2023 Can relax without guilt.

2.3.3. Matching Personalities and Jobs

- **Personality–job fit theory identifies six personality types and proposes that the fit between personality type and occupational environment determines satisfaction and turnover.**
- **John Holland presents six personality types** and proposes that satisfaction and the propensity to leave a job depend on the degree to which individuals successfully match their personalities to an occupational environment.



Type

Congruent Occupation

Realistic: Prefers physical activities that require skill, strength, and coordination

Mechanic, drill press operator, assembly-line worker, farmer

Investigative: Prefers activities that involve thinking, organizing, and understanding

Biologist, economist, mathematician, news reporter

Social: Prefers activities that involve helping and developing others

Social worker, teacher, counselor, clinical psychologist

Conventional: Prefers rule-regulated, orderly, and unambiguous activities

Accountant, corporate manager, bank teller, file clerk

Enterprising: Prefers verbal activities in which there are opportunities to influence others and attain power

Lawyer, real estate agent, public relations specialist, small business manager

Artistic: Prefers ambiguous and unsystematic activities that allow creative expression

Painter, musician, writer, interior decorator

Chapter Three

Foundations of Group Behavior

3.1. Defining and Classifying Groups

Group(s)

- ✓ Two or more individuals interacting and interdependent, who have come together to achieve particular objectives.
 - ✓ A group is **any number of people who interact with one another** and are psychologically aware of one another and perceive themselves to be a group.
-

Fomal Group

A designated work group **defined by the organization's structure.**

Command & Task group

Informal Group

A group that is neither formally structured nor organizationally determined; **appears in response to the need for social contact.**

Interest & Friendship group

Defining and Classifying Groups (cont'd)

Command Group

A group composed of the individuals who **report directly to a given manager. All Dep't in FBE**

Interest Group

Those working together **to attain a specific objective** with which each is concerned. **group of friends who gather to watch football & learn a new language every week.**

Task Group

Those working together to **complete a job or task.**

Friendship Group

Those brought together because they share one or more common **characteristics**. Their relationships **don't tend to revolve around one particular activity**, but, instead, are more about enjoying each other's company.

Characteristics of Formal Groups

- Created to carry out some specific task or to meet a required goal
- Explicitly defined structure, procedural rules and membership.
- Defined roles and designated work assignments
- Specified goals and deadlines

3.2. Why do people join groups?

- **Security:** to reduce the insecurity of standing alone.||
- **Status:** Inclusion in a group is better to get recognition and others
- **Self-Esteem:** Groups can provide people with feeling of self-worth.
- **Affiliation:** Groups can fulfill social needs people enjoy the regular interaction that comes with group membership.
- **Power:** what cannot be achieved individually often becomes possible through group action. There is power in numbers.
- **Goal Achievement:** e.g. when there is a need to pool talents, knowledge, or power in order to complete a job.

The Five-Stage Model of Group Development

1. Forming Stage

Characterized by much uncertainty about the group's purpose, structure, and leadership. This stage is complete when members have begun to think of themselves as part of a group.

2. Storming Stage

Characterized by intragroup conflict

- ❖ Members accept the existence of the group but resist the constraints it imposes on individuality.
- ❖ There is conflict over who will control the group
- ❖ When this stage is complete, there will be a relatively clear hierarchy of leadership within the group.

3. Norming Stage

- ❖ Characterized by close relationships, cohesiveness, strong sense of group identity and camaraderie/solidarity
- ❖ It is complete when the group structure solidifies and the group has assimilated a common set of expectations of what defines correct member behavior.

4. Performing Stage

- ❖ When the group is fully functional. Last stage for permanent groups but 4th for temporary grps
 - ❖ Group energy has moved from getting to know and understand each other to performing the task at hand.
-

5. Adjourning Stage

- ❖ The final stage in group development for temporary groups, characterized by **concern with wrapping up activities rather than performance.**
- ❖ The group prepares for its disbandment.



3.4. Obstacles to team/group productivity

A) External Conditions Imposed on the Group:

B) Internal conditions imposed on the group : e.g. their resources, abilities, structure

A) External conditions

- **Organization Strategy:** The strategy that an organization is pursuing will influence the power and functions of groups.
- **Authority structures:** organizations have authority structures that define **who reports to whom, who makes decisions, and what decisions individuals or groups are empowered to make.**
- **Formal Regulations:** The more formal regulations that the organization imposes on all its employees, the more the behavior of work group members will be consistent and predictable.

- **Organizational Resources:** The presence or absence of resources
- **Human Resource Selection Process:** the criteria that an organization uses in its selection process will determine the kinds of people that will be in its work groups.
- **Reward System:**
- **Organizations Culture:** unwritten culture that defines standards of acceptable and unacceptable behavior for employees.
- **Physical Work Setting:** e.g. It is a lot easier for employees to talk if their work stations are close together, there are no physical barriers between them, and their supervisor is close to them.

B) Internal conditions/ Group Structures

- ❖ Some of the structural variables are leadership, roles, norms, group status, group-size, composition of the group, and the degree of group cohesiveness.

1. Formal Leadership

- The leader plays an important part in the group's success.
- The primary function of a leader (formal or informal) is to facilitate the accomplishment of group goals.
- The leader constantly evaluates, directs and motivates member behavior towards overall goals.

2. Role(s)

A set of **expected behavior patterns attributed** to someone occupying a given position in a social unit.

- I. **Role Identity:** Certain attitudes and behaviors consistent with a role.
- II. **Role Perception:** An individual's view of how he or she is supposed to act in a given situation.
- III. **Role Expectations:** How others believe a person should act in a given situation **due to psychological contract**, mutual expectations what management expects from workers, and vice versa.
- IV. **Role Conflict:** A situation in which an individual is confronted by divergent role expectations.

3. Norms

- ❖ Acceptable standards of behavior within a group that are shared by the group's members.
- ✓ Norm is a rule of conduct that has been established by group members to maintain consistency in behavior.
- ✓ Norms tell members what they ought to and ought not to do under certain circumstances.

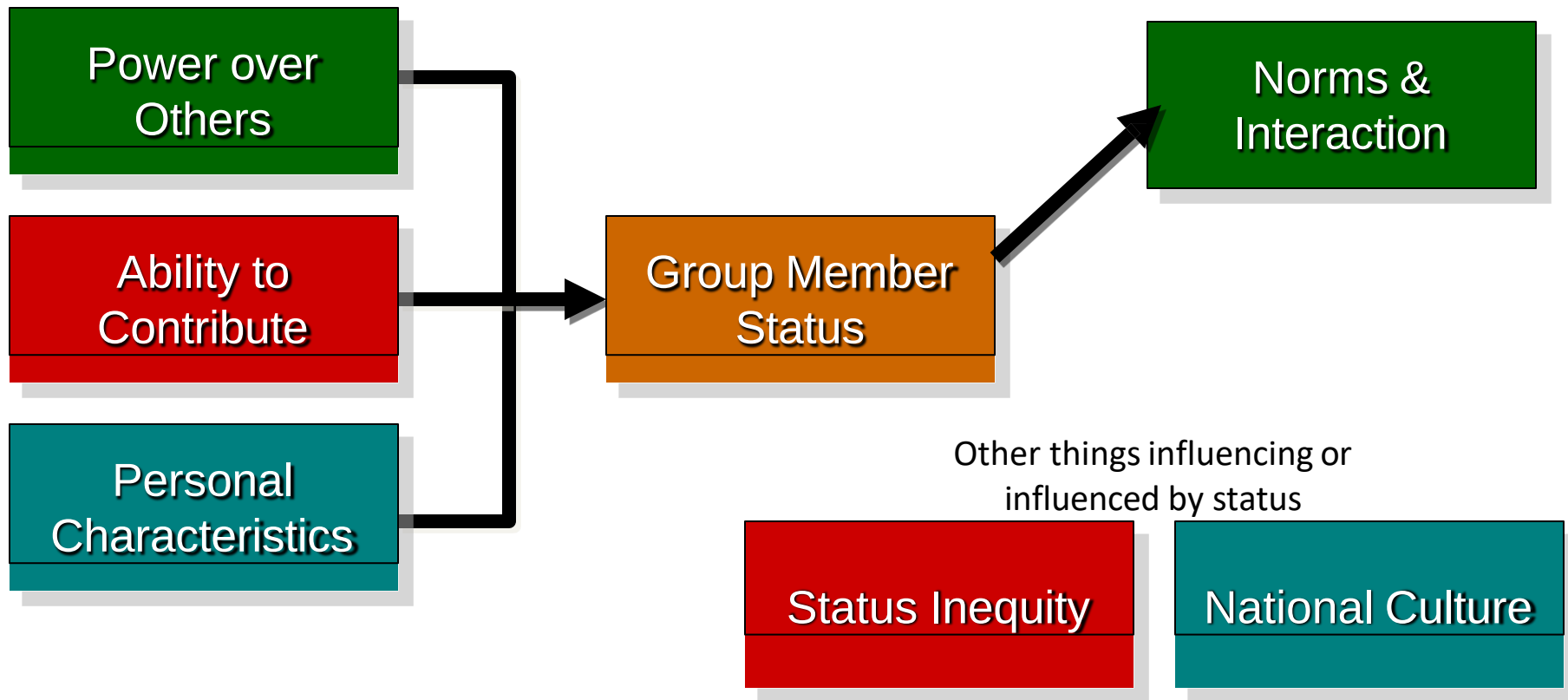
Classes of Norms:

- **Performance norms:** explicit cues on how hard they should work, how to get the job done, their level of output, etc.
- **Appearance norms:** formal dress codes, loyalty to work groups, when to look busy, when it's appropriate to goof off....etc.
- **Social arrangement norms:** to regulate social interaction, e.g. with whom to eat lunch, friendship on & off the job, social games...etc.
- **Allocation of resources norms:** pay, assignment of difficult job, allocation of new tools/equipments

Conformity: Adjusting one's behavior to align with the norms of the group.

4. Status

Status: A socially defined position or rank given to groups or group members by others.

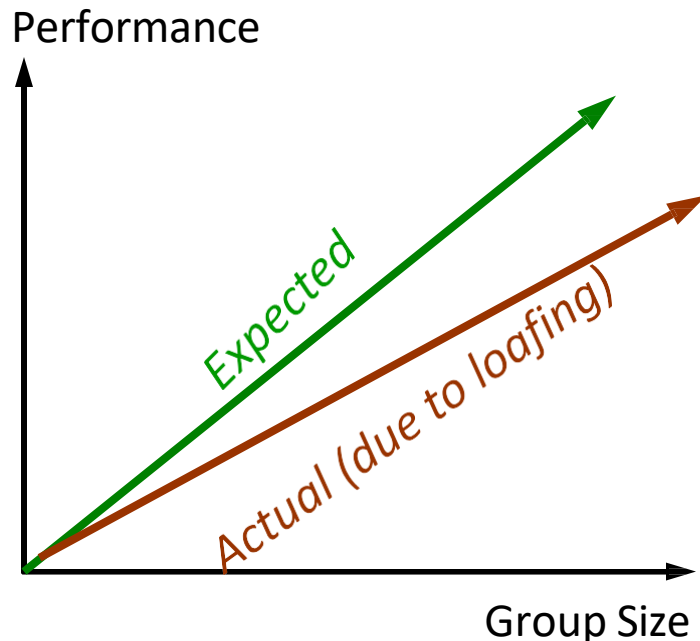


5. Size

Smaller groups are faster at completing tasks than are larger ones.

Problem solving= large groups consistently get better results

Social Loafing: The tendency for individuals to expend less effort when working collectively than when working individually.



Other conclusions:

- Odd number groups do better than even.
- Groups of 5 to 7 perform better overall than larger or smaller groups.

6. Composition

- ✓ Most group activities require a **variety of skills and knowledge** (gender, personalities, opinions, abilities, skills, and perspectives), so it would be reasonable to conclude that heterogeneous groups-those composed of dissimilar individuals-would be more likely to have diverse abilities and information and should be more effective.
- ✓ The group may be more conflict laden and less expedient as diverse positions are introduced and assimilated, but the evidence generally supports the conclusion that heterogeneous groups perform more effectively than do those that are homogeneous.

7. Cohesiveness

Cohesiveness: Degree to which **group members are attracted to each other** and are motivated to stay in the group.

Relationship Between Group Cohesiveness, Performance Norms, and Productivity

		Cohesiveness	
		High	Low
Performance norms	High	High productivity	Moderate productivity
	Low	Low productivity	Moderate to low productivity

3.5. How to increase group cohesiveness to increase productivity

1. Make the group smaller.
2. Encourage agreement with group goals.
3. Increase time members spend together.
4. Increase group status and admission difficulty.
5. Stimulate competition with other groups.
6. Give rewards to the group, not individuals.
7. Physically isolate the group.

3.6. Using Work Teams in Organizations

Group: A collection of individuals who work together in completing a task.

Team: A group of persons having collective identity joined together, to accomplish a goal.

It is a **small number of people with complementary** skills who are committed to a common purpose, common performance goals, and approach for which they hold themselves mutually accountable.

Teams imply a high degree of coordination among their members, along with a shared belief that winning (achieving team goals) is not only desirable but the very reason for the team's existence.

Work group: A group that interacts primarily **to share information and to make decisions** to help each other perform within his or her area of responsibility.

Work team: A group whose individual **efforts result in a performance** that is greater than the sum of those individual inputs.

- A work team generates positive synergy through coordinated effort.

Team Versus Group: What's the Difference?

Work Group

A group that interacts primarily to share information and to make decisions to help each group member perform within his or her area of responsibility.



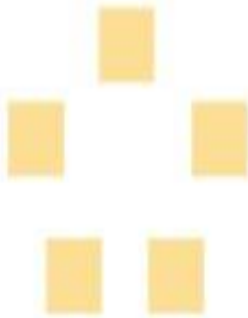
Work Team

A group whose individual efforts result in a performance that is greater than the sum of the individual inputs.



Comparing Work Groups and Work Teams

Work groups



Share information

Neutral (sometimes negative)

Individual

Random and varied

Work teams



Collective performance

Positive

Individual and mutual

Complementary

Goal

Synergy

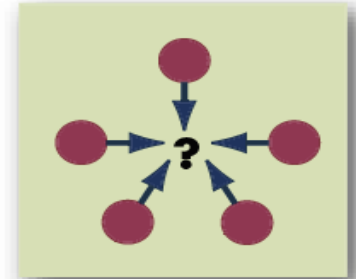
Accountability

Skills

Types of Teams: 4 (Problem solving, self-managed, Cross-Functional and Virtual teams)

A) Problem-Solving Teams

Groups of 5 to 12 employees from **the same department** who meet for a few hours each week to discuss ways of improving quality, efficiency, and the work environment.

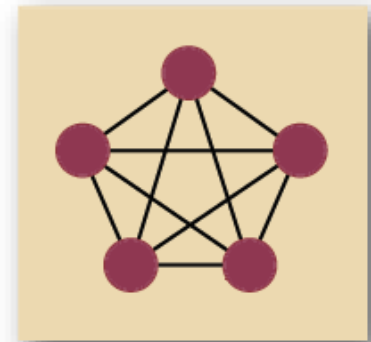


Problem-solving

B) Self-Managed Work Teams:

Groups of 10 to 15 people who take on **the responsibilities of their former supervisors**.

It is a group of employees **within an organization who share the responsibility of planning and executing their work**, without the supervision of a manager.



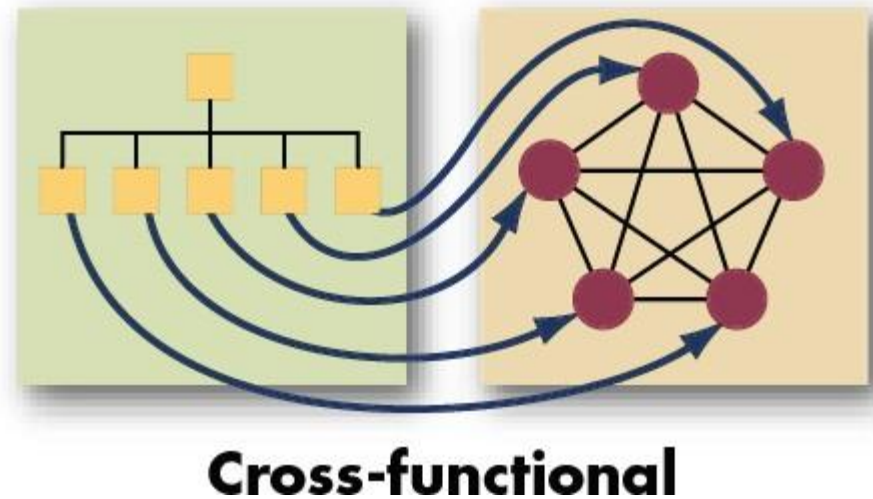
Self-managed

Types of Teams (cont'd)...

C) Cross-Functional Teams

Employees from about the **same hierarchical level**, but from **different work areas**, who come together to accomplish a task.

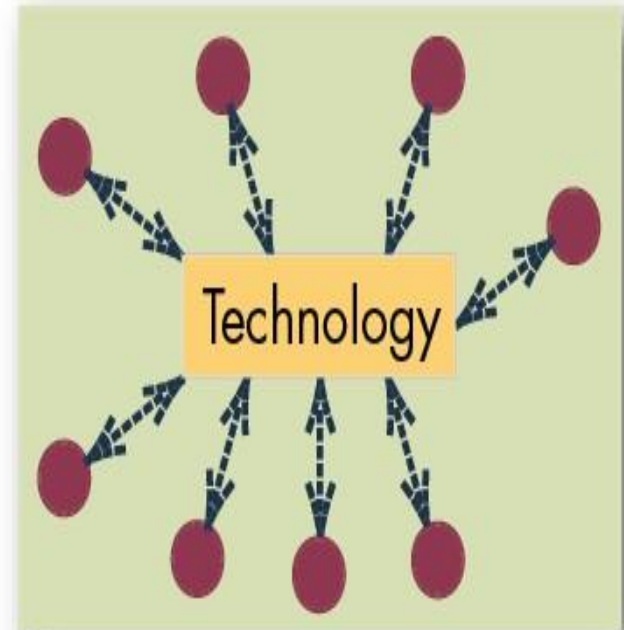
- **Task forces**: is a temporary cross-functional team.
- **Committees**: are groups made up of members from across departmental lines.



Types of Teams (cont'd)...

D) Virtual Teams

Teams that use computer technology to tie together physically dispersed members in order to achieve a common goal.



Virtual

3.7. Reason for using teams

- ❑ **Higher quality, productivity and profits**
- ❑ **Greater flexibility-** Team can improve flexibility because team member's broad skills and job descriptions enable them to adapt processes quickly.
- ❑ **Greater responsiveness to change** - For the organization to respond fast, the employees who implement strategies must be involved in decisions about those strategies.
- ❑ **Social needs** - Team work offers a chance to meet social needs and enjoy a sense of involvement and achievement

3.8. Implication of team work for performance and job satisfaction

None of us is as Good as all of us!

- ☐ Most complicated tasks will be solved by different professionals
- ☐ Encourages cooperation and interdependence
- ☐ Immediate achievement of group goals
- ☐ Gives the opportunity to see oneself in group
- ☐ Gives the opportunity for group members to learn from others
- ☐ Gives the opportunity for creating new work styles

- ❑ All group members will do their job in line with principles, all feel responsible, accountable which leads to success
- ❑ Increased communication and information sharing
- ❑ Group discussion helps to remember things better and easily
- ❑ Enable to finish a work within short period of time, limited expenses and reduces errors
- ❑ If group members participate in the process, they become happy
- ❑ Potential exists for greater acceptance and understanding of team-made decisions
- ❑ Creates opportunity to compensate for individual weaknesses.

Chapter Four
Motivation Concepts and their
Applications

What is Motivation

- ✎ Motivation is defined as individual's intention or willingness to put maximum effort in his/her work to reach organizational goals and enhance one's ability to satisfy some individual needs.
- ✎ Motivating is the management process of influencing people's behavior.
- ✎ There are three major elements related to motivation:
 - ✓ **Effort:** It refers to an individual's intensity in reaching the stated goal.
 - ✓ **Need:** It is a state of deficiency and the organism tries to restore this deficiency to make it as equilibrium.
 - ✓ **Goals:** Human behavior is always goal directed. Once the desired goal is satisfied, individuals will always restate the goals or look for other goals to get satisfied.

Intrinsic and Extrinsic Motivation

- **Intrinsic Motivation:** It refers to self, generated factors that influence people to behave in a particular way or to move in a particular direction. These factors include responsibility, freedom to act, scope to use and develop skills and abilities, interesting and challenging work, opportunities for advancement etc.
- **Extrinsic Motivation:** Efforts made by others to motivate people. This may be e.g.: reward, punishment, appreciation etc.

Characteristics of Motivation

- 👉 **Motivation is a psychological phenomenon.** It is the inner desire of an individual to accomplish something more.
- 👉 **Motivation is a continuous process.** Since need is a continuous phenomenon if one need is satisfied the other need emerges.
- 👉 **Motivation is caused due to anticipated perceived value from an action.** Perceived value is the probability or the expectancy.
- 👉 **There are unsatisfied needs.** A person remains disturbed till they are satisfied.
- 👉 **Individual is motivated by positive motivation.** It refers to incentives offered by the organization to achieve efficiency.

Importance of Motivation

- ☞ **High level of performance:** It is the duty of every manager to ensure that the employees have a high degree of motivation.
- ☞ **Low employee turnover and absenteeism.** Employee turnover and absenteeism is caused due to low level of motivation on the part of managers.
- ☞ **Acceptance of organization change.** Management must continuously scan the external and the internal environment.
- ☞ **Organizational image:** Employees are the mirrors of any organization. Managers must lay down high performance standards coupled with high monetary and nonmonetary rewards.

Theories of Motivation

1. Early Theories of Motivation:

- **The traditional approach:** - the traditional approach to employee motivation is represented explicitly by the work of Fredrick W. Taylor who suggested the use of an incentive pays system. He assumed economic gain was every ones primary motivation . People could expected to perform any kind of job if they were paid enough .
- **The human relations approach:-** the human relation approach grew out of the work at western electric of Elton mayo and his associates .The human relationists emphasized the role of social processes in the work place. Their basic assumptions were that employees want to feel useful and important ,employees have strong social needs and that these needs are more important than money in motivating employees .

2. Contemporary Theories of Motivation

2.1. Need-Based/ Content Theories of Motivation: The earliest studies of motivation involved an examination of individual needs. At the time, researchers developed theories to understand what people need. Four theories may be placed under this category:

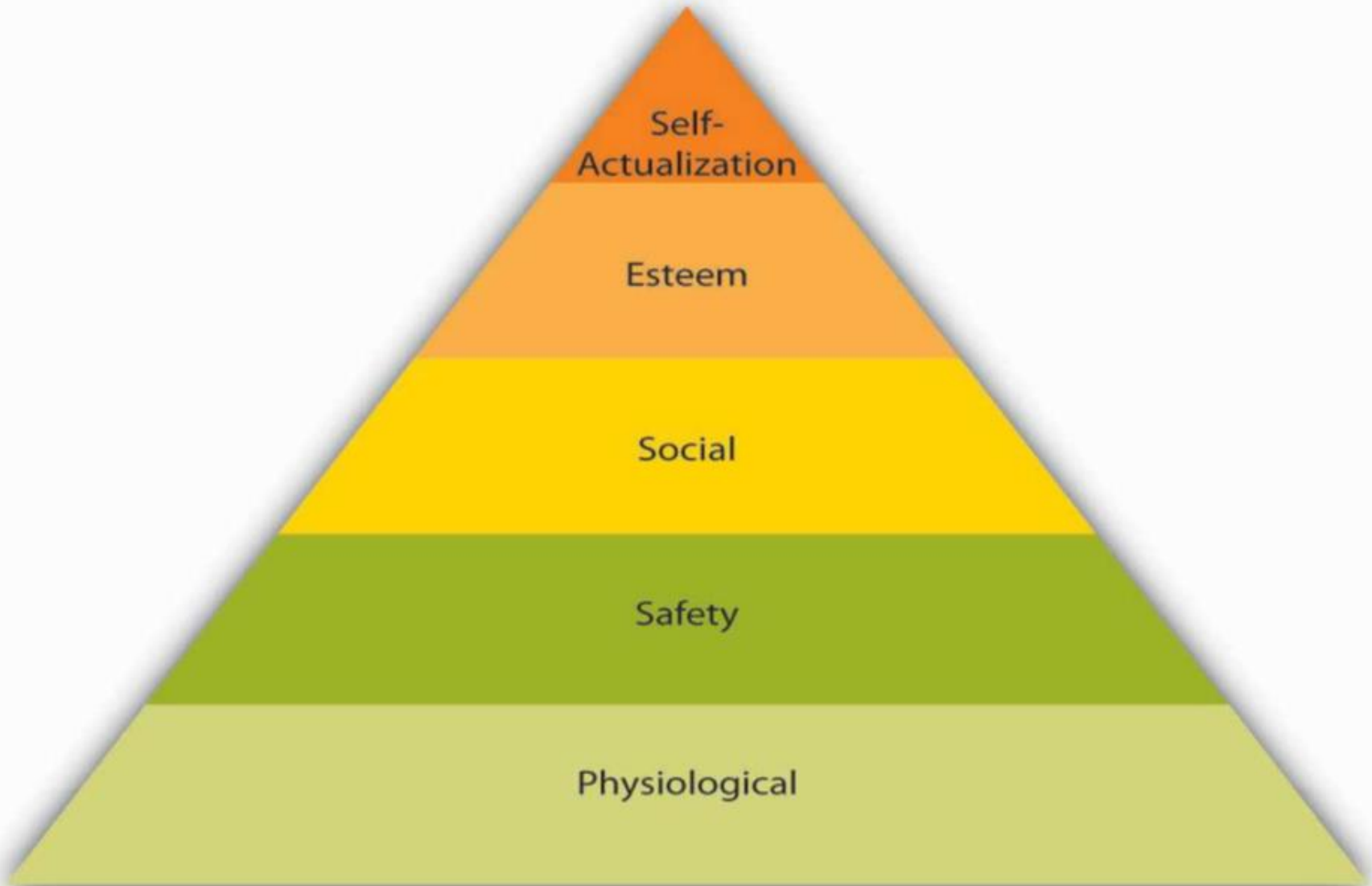
i. Maslow's Hierarchy of Needs:

- ✓ Human beings have needs that are hierarchically ranked.
- ✓ once a lower level need is satisfied, it no longer serves as a motivator.

 Fundamental Assumption

- ✓ Only unsatisfied needs can influence behavior; satisfied needs do not act as motivator
- ✓ A person's needs are arranged in an order of importance, or hierarchy, from the basic to the complex
- ✓ The person advances to the next level of the hierarchy, or from basic to complex needs, only when the lower need is at least minimally satisfied.

Figure 1: Maslow's Hierarchy of Needs



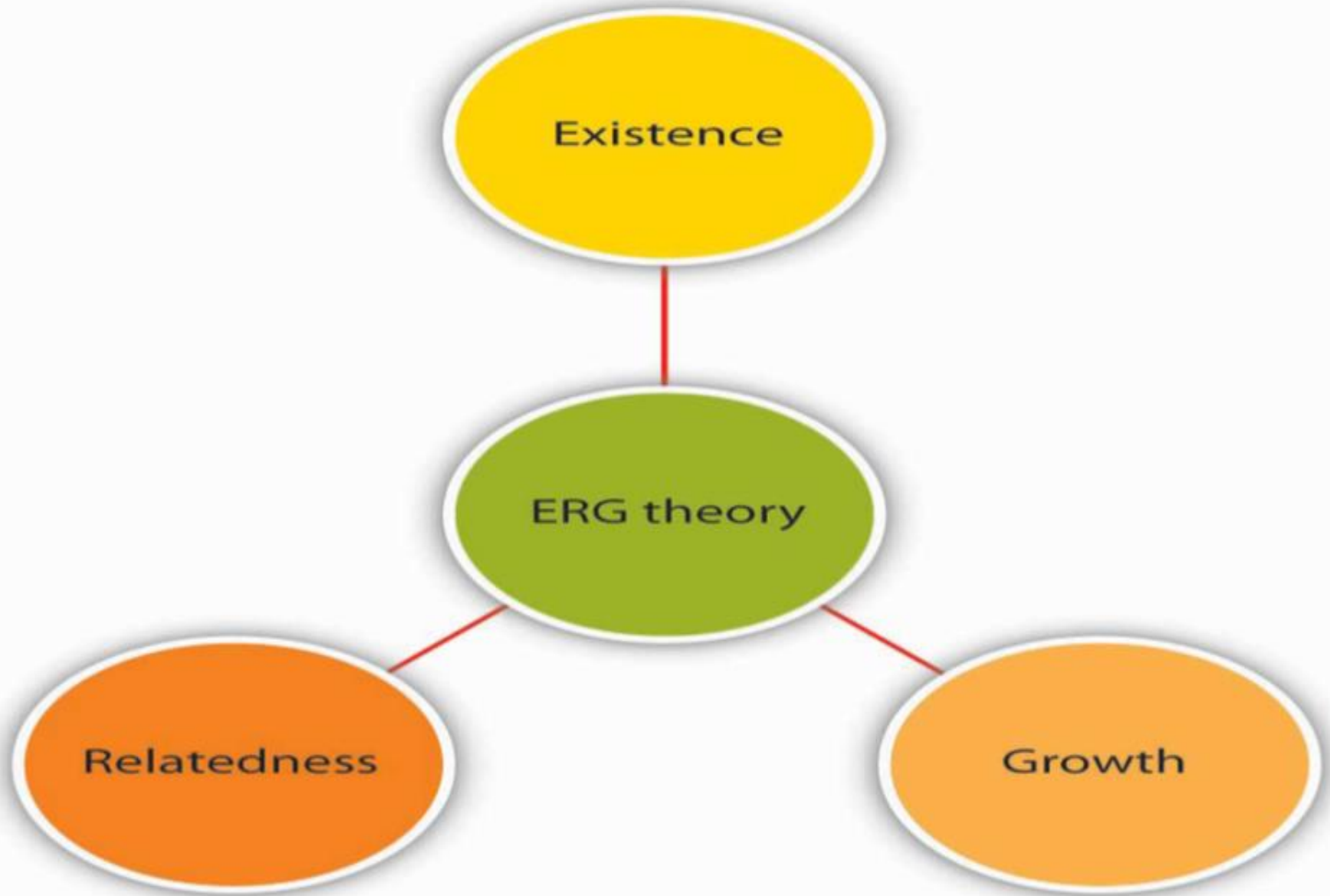
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- ☞ **Physiological Needs:** Physiological needs refer to the need for food, water, shelter, cloth and other biological needs.
- ☞ **Safety Needs:** The safety needs include the need for freedom from threat caused by the environment, animals and people.
- ☞ **Love and Belonging Needs:** These needs cover the need of relationships, affection, giving and receiving love and sense of belonging.
- ☞ **Self Esteem Needs:** It is also known as ego needs, which fulfill the need for strength, achievement, recognition, appreciation, respect and prestige.
- ☞ **Self-actualization Needs:** These are the need for full development of one's potential.

ii. Alderfer's ERG theory

- ❖ Instead of the five needs that are hierarchically organized, Alderfer proposed that basic human needs may be grouped under three categories.
- 👍 **Existence needs**, or material needs, which are satisfied by food, air, water, pay, fringe benefits, and working conditions.
- 👍 **Relatedness needs**, or needs for establishing and maintaining interpersonal relationships with co-workers, superiors, subordinates, friends, and family.
- 👍 **Growth needs**, or needs that are expressed by an individual's attempt to find opportunities for unique personal development by making creative or productive contributions at work.
 - ☞ Existence (E) needs are similar to Maslow's physiological and safety needs;
 - ☞ Relatedness (R) needs are similar to Maslow's affiliation needs; and
 - ☞ Growth (G) needs are similar to Maslow's esteem and self-actualization needs.

Fig,2: Alderfer's ERG theory

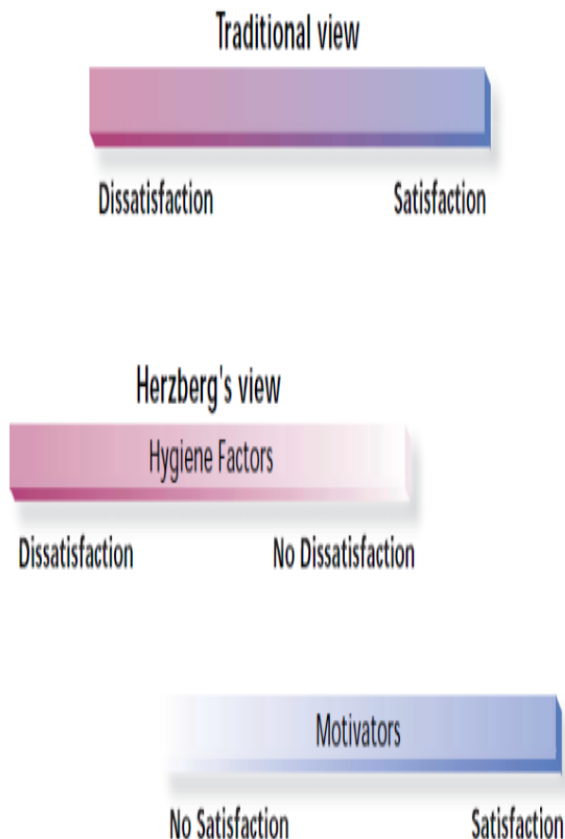


iii. Herzberg's Motivation-Hygiene Theory

- Herzberg investigated the question “What do people want from their jobs?” in an effort to determine what might lead to a person's success or failure at work.
- He found that **intrinsic factors** such as achievement, recognition, the work itself, responsibility, advancement, and growth seem to be related to job satisfaction.
- Herzberg also found that there were characteristics that led to job dissatisfaction. The factors that caused dissatisfaction were **extrinsic** such as company policy and administration, supervision, interpersonal relations, and working conditions.
- Herzberg's research led him to conclude that the opposite of satisfaction is not dissatisfaction, as was traditionally believed. Removing dissatisfying characteristics from a job does not necessarily make the job satisfying.
- The presence of motivating factors always ensures job satisfaction and happiness among the employees.
- Herzberg argued that improvement in the hygiene factors would only minimize dissatisfaction but not increase satisfaction and motivation.

Fig,3: Herzberg's Motivation-Hygiene Theory

EXHIBIT 4-2 Contrasting Views of Satisfaction and Dissatisfaction



Hygiene Factors

- Company policy
- Supervision and relationships
- Working conditions
- Salary
- Security

Motivators

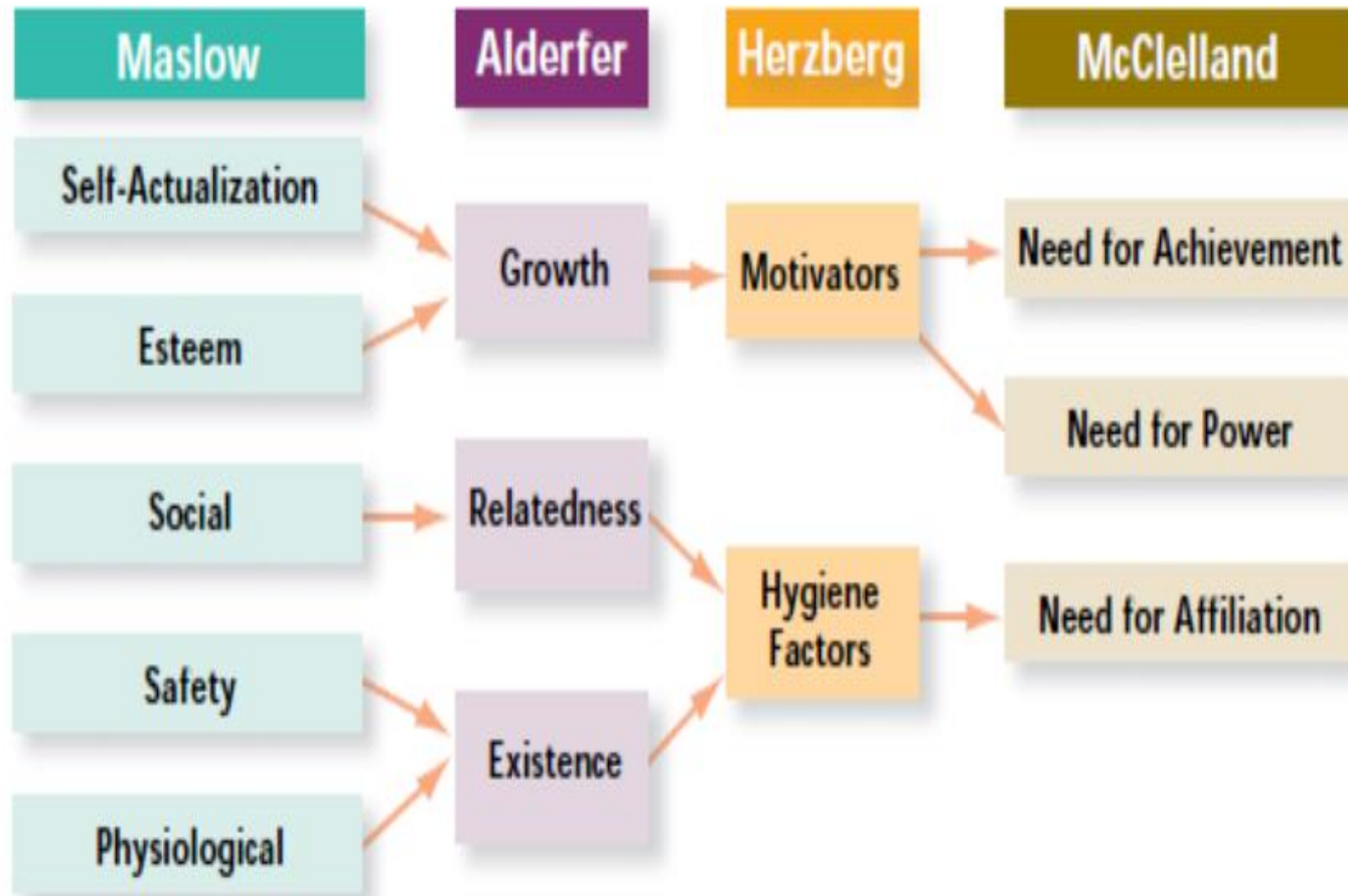
- Achievement
- Recognition
- Interesting work
- Increased responsibility
- Advancement and growth

iv. McClelland's Three – needs Theory

❖ McClelland proposed three types of needs common in work life:

- ✍ **Need for achievement.** The need for achievement (nAch) is the desire to do something better or more efficiently than it has been done before. McClelland found that high achievers differentiate themselves from others by their desire to do things better.
- ✍ **Need for power.** The need for power (nPow) is the desire to have impact, to be influential, and to control others.
- ✍ **Need for affiliation.** The desire for friendly and close interpersonal relationships.

EXHIBIT 4-3 Relationship of Various Needs Theories



2.2. Process Theories of Motivation

❖ The process theories of motivation are concerned with answering the questions of how individual behavior is energized, directed, maintained, and stopped.

a. Vroom Expectancy Theory:

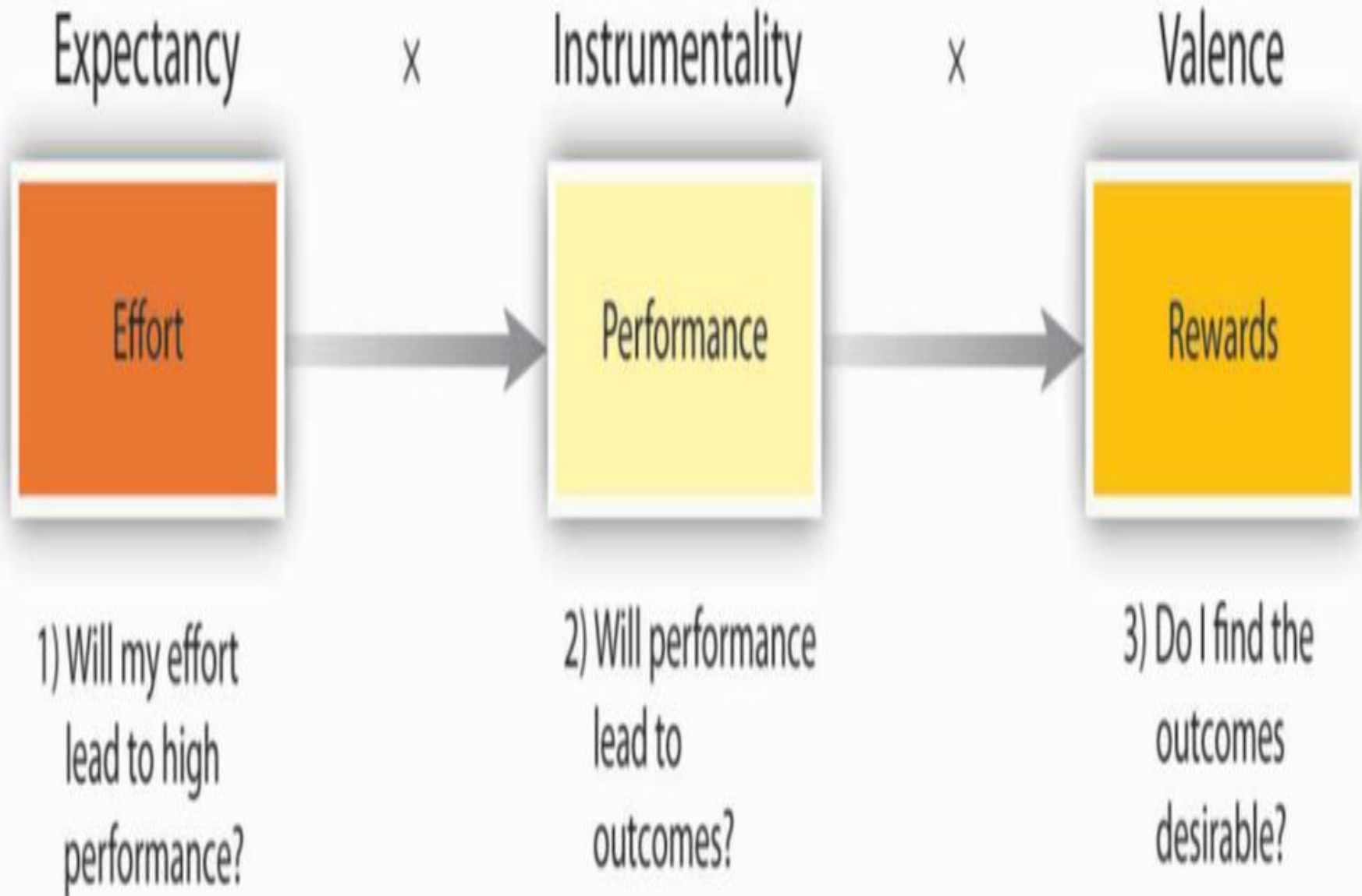
✓ An expectancy is defined as a momentary belief concerning the likelihood that a particular act will be followed by a particular outcome.

☞ Expectancy: Effort-Performance Relationship

☞ Instrumentality: Performance-Reward Relationship

☞ Valence: Rewards–Personal Goals Relationship

Figure 5: Summary of Expectancy Theory



Figure,6: How can manager motivate employees

Expectancy

- Make sure employees have proper skills, abilities, and knowledge
- Ensure that the environment facilitates performance
- Provide encouragement to make people believe that their effort makes a difference

Instrumentality

- Reward employee performance
- Inform people in advance about the rewards
- Try to eliminate non-performance influence over rewards

Valence

- Find rewards that are desirable to employees
- Make sure that the rewards are viewed as fair
- Give employees choice over rewards

b. Theory 'X' and Theory 'Y'

- Douglas McGregor proposed two distinct views of human beings: one basically negative, labeled **theory x**, and the other basically positive labeled **theory y**.
- After viewing the way in which managers dealt with managers, McGregor concluded that a manager's view of the nature of human beings is based on certain grouping of assumptions.
- **Theory X**, has four assumptions held by managers :
 - ✓ Employees inherently dislike work and whenever possible will attempt to avoid it.
 - ✓ Since employees dislike works, they must be coerced, controlled or threatened with punishment to achieve goals.
 - ✓ Employees will avoid responsibilities and seek formal direction whenever possible.
 - ✓ Most workers place security above all other factors associated with work and well display little ambition.

Cont'd

❖ **Theory Y**, has four assumptions held by managers :

- ✓ Employees can view work as being as natural as rest or play.
- ✓ People will exercise self-direction and self-control if they are committed to the objectives.
- ✓ The average person can learn to accept, even seek responsibility.
- ✓ The ability to make innovative decisions is widely dispersed throughout the population.

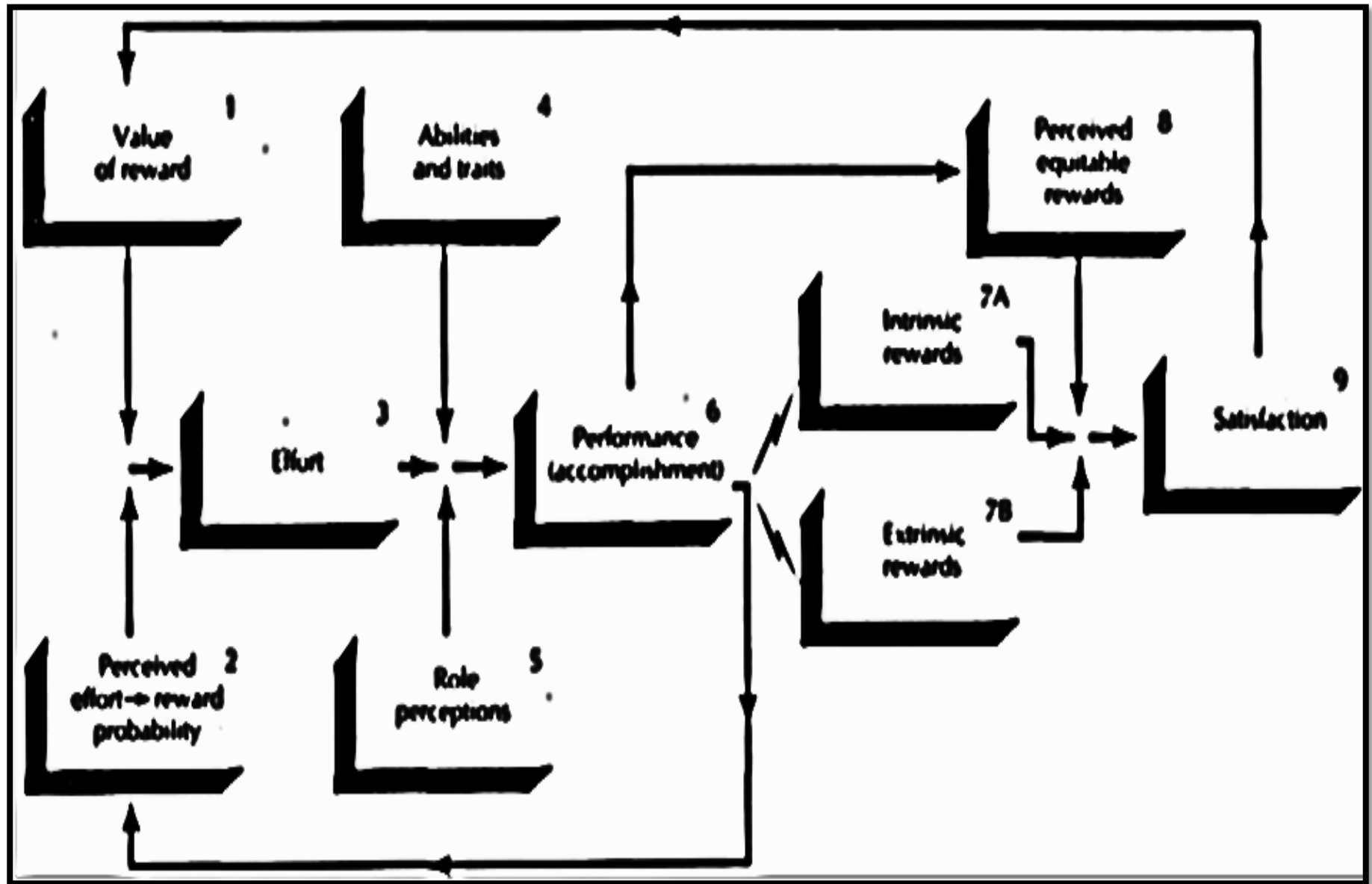
➤ Theory X can be effective for less developed and educated workers whereas Theory Y is feasible for developed and educated workers.

➤ Individuals with creative thinking and high ambitions are more successful under Theory Y and the opposite holds true for those who lack creativity and ambition.

c. Porter and Lawler Model

- The model highlights two important factors which facilitate or influence to put more effort in work. They are the valence and perceived Effort-Reward probability.
- ✎ **Valence:** The first factor concerns the extent to which the value of reward (valence) that is likely to be received from their job influences the amount of effort. If the expected reward is not attractive enough, he will lower his effort.
- 👍 **Perceived Effort-Reward probability:** The second factor states the influence of perceived effort-reward probability. If a person feels that the probability of getting reward is very high for given level of effort, he will more likely to put high level of effort in his work.

Figure,7: Porter and Lawler Model



d. J. STACY ADAM'S EQUITY THEORY

- ➡ Adams proposes equity theory of motivation based on the proposition that everyone tends to compare the ratio of his/her input and output with the input-output ratio of other person.
- ➡ The reference person or comparison person will always be in the same group, class, age, category etc.
- ➡ For example, a manager will always compare himself/herself with other fellow managers. A worker will always compare with other worker in the same organization.
- ➡ In the comparison process, if a person feels that his ratio of input-output is more or less equal to that of his comparison person's ratio of input-output, a state of equity exists. Then he perceives the situation as just and fair.
- ➡ If a person perceives the ratio as unequal, he will experience inequity that will lead to tension and stress.

Cont'd

❖ Inequity exists under two conditions:

- ✓ The person feels a negative inequity, when he has been rewarded less for his efforts than another.
- ✓ The person experiences a positive inequity, when he finds himself rewarded more than another for a similar degree of effort.

Person

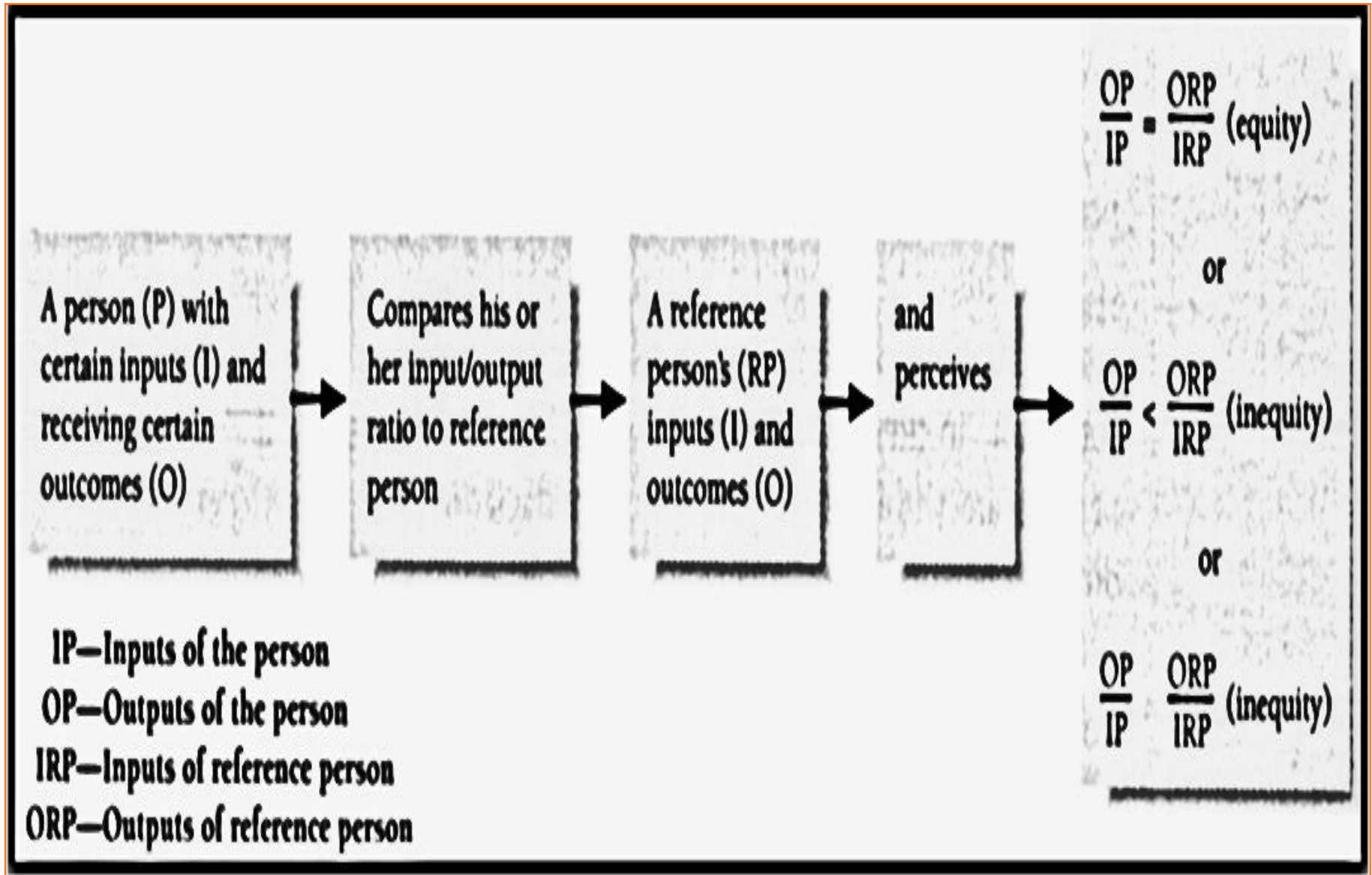
Referent Other

$$\frac{\text{Outcomes}}{\text{Inputs}}$$

=

$$\frac{\text{Outcomes}}{\text{Inputs}}$$

Figure,8: J. Stacy Adam's equity theory



Cont'd

- ❖ Based on equity theory, the employees who perceive inequity in the occupation may have many options to choose to restore balance.
- 1. **Changing their input:** by putting more effort in their job, updating skills, knowledge or talents etc.
- 2. **Changing their outcomes:** by increasing their output such as producing more volume of output, high quality of output, conserving more resources.
- 3. **Changing self-perception:** by rationalizing certain things such as I am working harder than anyone else.
- 4. **Changing perception of the reference person:** by assuming that the person has more contacts with influential superiors and gets more benefits.
- 5. **Choosing a different referent person and seeking comfort with that person**
- 6. **Leaving the field once for all:** some people try to reduce inequity feelings by getting away from the inequitable situation.

e. Goal-Setting Theory

- ✓ Locke proposed that intentions to work towards a goal are major source of work motivation.
- ✓ The goals facilitate employees what needs to be done and how much effort will need to be put forth in their tasks.
- ✓ The evidence shows the work values and goals will determine strongly the performance of an individual.
- Four important requirements for setting the goal:
 - ☞ **Goal Specificity:** Setting specific goals with clear expectations both in terms of quantitatively as well as qualitatively will reduce the ambiguity or confusion among the employees.
 - ☞ **Goal Difficulty:** if the goals are too difficult to complete, he will get high level of frustration and not able to complete the task in time. Hence, it is desirable to set the goal with moderate difficult level that will provide much challenge and motivate people to do work better than easy goals.

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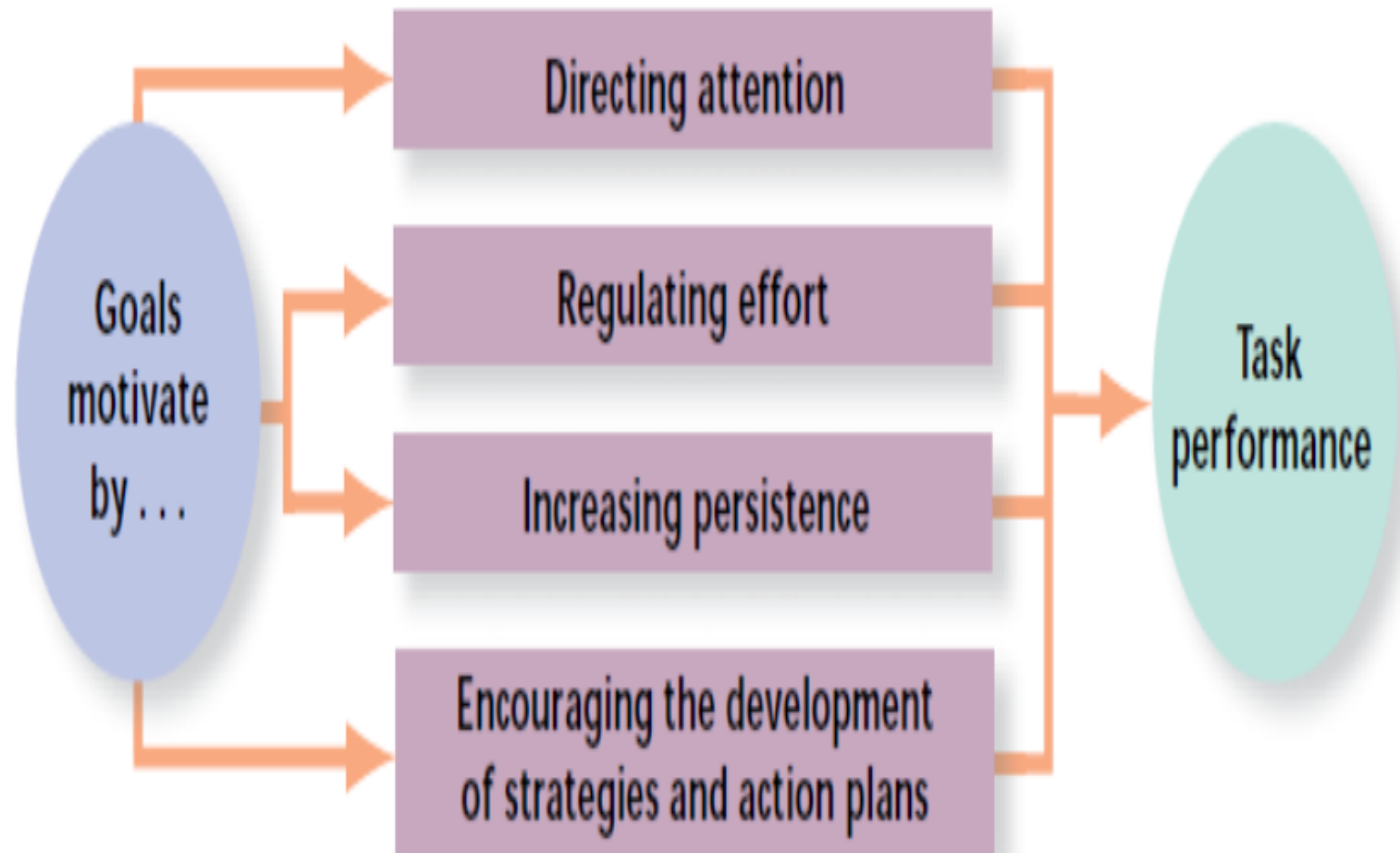
- ☞ **Participation in Goal Setting Process:** If the employees are allowed to participate in setting their work goals with clear directions, the likelihood getting full acceptance and participation in their task will be very high.
- ☞ **Feedback on Goal Effort:** Feedback helps in as much as is it keeps the employee's goal directed behavior on target and stimulates the person to put in greater efforts.

How Does Goal Setting Motivate

✎ According to Locke, goal setting motivates in four ways:

- 👉 **Goals direct attention:** Goals indicate where individuals should direct their efforts when they are choosing among things to do.
- 👉 **Goals regulate effort:** Goals suggest how much effort an individual should put into a given task.
- 👉 **Goals increase persistence:** Persistence represents the effort spent on a task over time. When people keep goals in mind, they will work hard on them, even in the face of obstacles.
- 👉 **Goals encourage the development of strategies and action plans:** Once goals are set, individuals can develop plans for achieving those goals.

EXHIBIT 4-7 Locke's Model of Goal Setting



f. Reinforcement Theory

- According to reinforcement theory, behavior is a function of its outcomes.
- Reinforcement theory describes four interventions to modify employee behavior.
- Two of these are methods of increasing the frequency of desired behaviors, while the remaining two are methods of reducing the frequency of undesired behaviors.

Cont'd

- ✍ **Positive reinforcement:** is a method of increasing the desired behavior. For example, praising an employee for treating a customer respectfully.
- ✍ **Negative reinforcement:** is also used to increase the desired behavior. Negative reinforcement involves removal of unpleasant outcomes once desired behavior is demonstrated. Irritating an employee to complete a report is an example of negative reinforcement.
- ✍ **Extinction:** is used to decrease the frequency of negative behaviors. Extinction is the removal of rewards following negative behavior. For example, it has been shown that when people are rewarded for their unethical behaviors, they tend to demonstrate higher levels of unethical behaviors.
- ✍ **Punishment:** is another method of reducing the frequency of undesirable behaviors. Punishment involves presenting negative consequences following unwanted behaviors. For example, Giving an employee a warning for consistently being late to work

Figure,10: Reinforcement Methods

Positive Reinforcement

Positive behavior followed by positive consequences
(Manager praises the employee)

Negative Reinforcement

Positive behavior followed by removal of negative consequences (Manager stops nagging the employee)

Punishment

Negative behavior followed by negative consequences
(Manager demotes the employee)

Extinction

Negative behavior followed by removal of positive consequences (Manager ignores the behavior)

CHAPTER FIVE

MANAGEMENT OF ORGANIZATIONAL CONFLICT

1. Conflict Defined

- Conflict is a process in which one party perceives that its interests are being opposed or negatively affected by another party.
- Conflict refers to a perception that values, goals, or needs are incompatible.
- So, organizational conflict is a disagreement between two or more organization members or groups arising from the fact that they must share scarce resources or work activities, and/or from the fact that they have different statuses, goals, values or perceptions.

Transitions in Conflict Thought

1. Traditional View of Conflict

The belief that all conflict is harmful and must be avoided.

2. Human Relations View of Conflict

The belief that conflict is a natural and inevitable outcome in any group.

3. Interactionist View of Conflict

The belief that conflict is not only a positive force in a group but that it is absolutely necessary for a group to perform effectively.

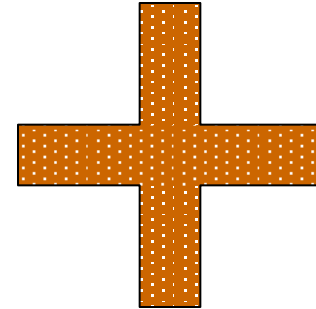
5.2. Roles of conflict in Organizations

Functional versus Dysfunctional Conflict

Functional Conflict

Conflict that supports the goals of the group and improves its performance.

(POSITIVE)



(Negative)

Dysfunctional Conflict

Conflict that hinders group performance.

- **Functional Outcomes from Conflict**

- Increased group performance
- Improved quality of decisions
- Stimulation of creativity and innovation
- Encouragement of interest and curiosity
- Provision of a medium for problem-solving
- Creation of an environment for self-evaluation and change

N.B: Creating Functional Conflict

- Reward dissent and punish conflict avoiders

- **Dysfunctional Outcomes from Conflict**

- Development of discontent/disatisfaction
- Reduced group effectiveness
- Retarded communication
- Reduced group cohesiveness
- Infighting/power struggle among group members overcomes group goals

5.3. TYPES and LEVELS OF CONFLICTS

It is possible to identify the following types of conflict that might occur in organizations.

i. Substantive Vs Emotional conflict

ii. Task, Relationship and process conflicts

- **Substantive conflict** involves fundamental disagreement over ends or goals to be pursued and the means for their accomplishment
- **Emotional conflict** involves interpersonal difficulties that arise over feelings of anger, mistrust, dislike, fear, resentment, and the like.

ii. Task, Relationship and process conflicts

- **Task Conflict:** Conflicts over content and goals of the work.
- **Relationship Conflict:** Conflict based on interpersonal relationships.
- **Process Conflict:** Conflict over how work gets done.

Conflict can occur on several levels in an organization. These levels are Intrapersonal, Interpersonal, Intergroup, and Inter-organizational.

1) INTRAPERSONAL CONFLICT

- ❖ Conflicts between an individual's **values, goals, and needs** are Intrapersonal conflicts. **3 types of Intrapersonal conflicts are:**
 - **Approach-approach** conflict to make a choice between *two equally attractive* alternatives. E.g. employed parents conflict between their **dual roles of parent and employee**.
 - **Avoidance-avoidance** conflict to make a choice between *two equally unattractive* alternatives. E.g. CEO of loss making companies when they have to decide between **whether to let the company performance slide further down or to remove employees so as to improve the company performance**.
 - **Approach-avoidance** conflict to make a choice among a set of options that have *good and bad outcomes*. E.g. many employees face this conflict between the **desire for career success and the desire for more personal time**.

2) Interpersonal Conflict

- ❖ It occurs when **two or more individuals have differing values, goals, and needs**. Interpersonal conflict can also occur between an individual and a group.
- It is likely to occur when individuals are competing for the same resources, such as promotions, work facilities, or work assignments.
- Interpersonal conflict is also likely in groups that are heterogeneous. This could be either diversity of the work force or people representing different functions (E.g., cross-functional team).
- Many interpersonal conflicts arise because of ***personality clashes***. Parties involved in a personality clash are unable to cooperate with or appreciate one another.

3. Intra-group Conflict

- When conflict occurs within one group, it is called intra-group conflict.

4) Intergroup Conflict

- Intergroup conflicts are conflicts **between two or more groups in the same organization.**
- Intergroup Conflicts occur when there are differences in values, goals, or needs between two or more groups in the organization. E.g. line vs staff (Support)
- Intergroup Conflicts occur for **four basic reasons**:
 - I. The groups are interdependent;
 - II. The groups have different goals;
 - III. The groups perceptions are different; and
 - IV. The organization increasingly needs specialists.
- Intergroup Conflicts are very common in organizations.

5) Intra-organization Conflict

- These conflicts comprise of all intra individual, inter individual, intra group and inter group conflicts because they all are the parts of the same organization.

6) Inter-organizational conflict

- Conflict that occurs **between two or more organizations** is called inter-organizational conflict.
- An example of inter-organizational conflict is corporate takeover attempt whereby **one organization tries to take control over another organization.**
- E.g. a car manufacturing organization may have conflict with the parts supplying organization regarding prices or quality of the parts.
- Inter-organizational conflict can also arise because of competition among organizations.

5.4. SOURCES / CAUSES OF CONFLICTS

1) Competition for limited resources: fight for limited resources

E.g. fight for more organizational resources between marketing and production departments. Competition may also arise from two individuals seeking the same position.

2) Workflow Relationship: Work interdependencies exist when two or more subunits depend on each other to complete their respective tasks.

3) Communication Problems: Communication barriers such as physical distance/separation and language can create distortions in messages, and these can lead to conflict.

4) Differences in Values, Attitudes, and Perceptions

E.g. an employee may give a high value on spending more time with family. And the manager may ask him to work overtime and the like. So, an obvious value-system conflict arises.

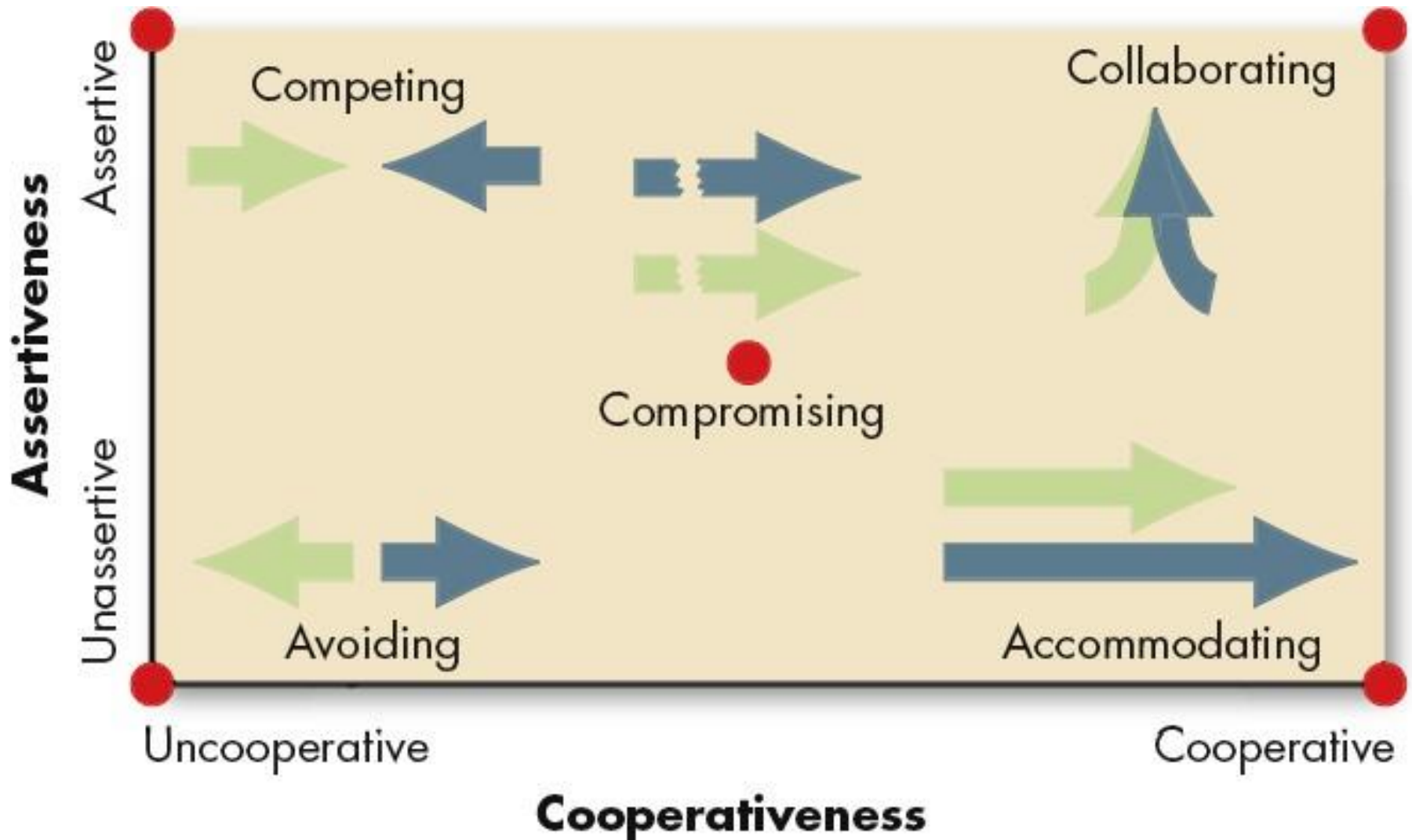
5) **Overlapping or Unclear Job Boundaries / Jurisdictional Ambiguity**: It means unclear lines of responsibility within an organization. When a problem occurs for which there is no definite source of responsibility, employees tend to 'pass the buck', or avoid dealing with the problem.

6) **Status Inconsistencies**: status difference between management and non-management employees. Managers may enjoy privileges- such as flexible schedules, larger lunch hours - that are not available to non-management employees. This may result in resentment and conflict.

5.5. CONFLICT MANAGEMENT STRATEGIES

- ❑ Dimensions of Conflict-Handling Intentions: 5 basic conflict resolution styles using **assertiveness** and **cooperativeness** as determinant factors:
 - ❑ **Assertiveness** is attempting to **satisfy one's own concerns**
 - ❑ **Cooperativeness** is attempting to satisfy the **other party's concerns**.
- ✓ Withdrawing (Avoiding), smoothing (accommodating), forcing (dominating; competing), confronting (collaborating, problem solving, integrating) and compromising.

Dimensions of Conflict-Handling Intentions



Source: K. Thomas, "Conflict and Negotiation Processes in Organizations," in M.D. Dunnette and L.M. Hough (eds.), *Handbook of Industrial and Organizational Psychology*, 2nd ed., vol. 3 (Palo Alto, CA: Consulting Psychologists Press, 1992), p. 668. With permission.

Competing (Dominance and Suppression) (Win-Lose):

- ❖ A desire to **satisfy one's interests**, regardless of the impact on the other party to the conflict.

USE....Competition

- When quick, decisive action is vital (in emergencies); on important issues.
- Where unpopular actions need implementing (in cost cutting, enforcing unpopular rules, discipline).
- On issues vital to the organization's welfare.
- When you know you're right.
- Against people who take advantage of noncompetitive behavior.

Collaborating (Integrative Problem-Solving) (Win-win):
A situation in which the parties to a conflict **each desire to satisfy fully the concerns of all parties.**

USECollaboration

- To find an integrative solution when both sets of concerns are too important to be compromised.
- When your objective is to learn.
- To merge insights from people with different perspectives.
- To gain commitment by incorporating concerns into a consensus.
- To work through feelings that have interfered with a relationship.

Avoiding (Withdrawing) (Lose-lose):

❖ The desire to **withdraw from or suppress a conflict.**

USE...Avoidance

- When an issue is trivial/unimportant, or more important issues are pressing.
- When you perceive no chance of satisfying your concerns.
- When potential disruption outweighs the benefits of resolution.
- To let people cool down and regain perspective.
- When gathering information supersedes immediate decision.
- When others can resolve the conflict effectively.
- When issues seem tangential or symptomatic of other issues.

Accommodating (lose/win situation)

- ❖ The willingness of one party in a conflict to place the opponent's interests above his or her own.

USE...Accommodation

- When you find **you're wrong** and to allow a better position to be heard.
- To learn, and to show your reasonableness.
- When issues are **more important to others than to yourself** and to satisfy others and maintain cooperation.
- To build **social credits for later issues**.
- To minimize loss when outmatched and losing.
- When harmony and stability are especially important.
- To allow employees to develop by learning from mistakes.

Compromising

- ❖ A situation in which each party to a conflict is **willing to give up something.**



USE...Compromise

- When goals are important but not worth the effort of potential disruption of more assertive approaches.
- When opponents with equal power are committed to mutually exclusive goals.
- To achieve temporary settlements to complex issues.
- To arrive at expedient solutions under time pressure.
- As a backup when collaboration or competition is unsuccessful.

5.6. CONFLICT AND ORGANIZATIONAL PERFORMANCE

- Conflict has both **positive and negative outcomes**, depending on its nature, intensity, and how it is managed.
- A **total absence** of conflict is therefore as **undesirable** as excessive conflict.

Lack of conflict may be a sign that employees are complacent, non participative, the employees are not creative or the organization doesn't support creative thinking.

So, too little conflict tend to be plagued by apathy, lack of creativity, indecision, and missed deadlines.

- A *high level* of conflict tends to be *disruptive* because it damages morale, interferes with coordination, and prevents employees from efficiently accomplishing their objectives.

So, excessive conflict erodes organizational performance because of political infighting, dissatisfaction, lack of teamwork, and turnover.

- Organizational performance should be *best with a moderate level of conflict*.

At a moderate level of conflict, conflict could be a source of needed change and can increase employees' motivation to think creatively and do their best.

Chapter Check-Up: Conflict

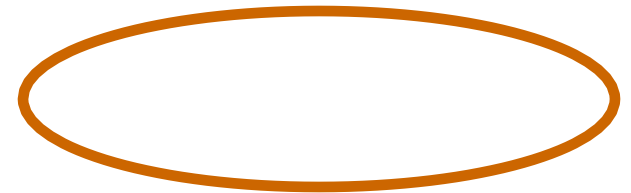
Suppose you support Ethiopian Prosperity Party (EPP) and your uncle is a Ethiopian Democratic Party (EDP). Every time he sees you, he tries to pick a fight about politics. According to this chapter, what conflict handling intention should you use in dealing with him?

Competing

Collaborating

Accommodating

Avoidance



Chapter 6: STRESS & ITS MANAGEMENT

● *WHAT IS STRESS?*

It is a condition arising from the interaction of people and their jobs and characterized by changes within people that force them to deviate from their normal functioning (Beehr & Newman).

It's an ***adaptive response*** to any external action, situation or event that places special physical and/or psychological demands upon a person (Matterson).

- Generally, stress is stated as “...***is an adaptive response to a situation that is perceived as challenging or threatening to the person's well-being***”.

❑ **Stressors**- an environmental condition or stimuli that places physical or emotional demand on a person

● **Is stress bad or not?**

Stress is usually considered to be **negative and caused due to something bad.**

- ***Minimal level of stress is required*** for organizations to operate effectively. **Stress is also a source of inspiration.** When there is a stress for any work it leads to higher performance.
- ***Excessive stress is harmful*** for the individual as it **causes mental and physical disequilibrium** and subsequently leads to physical and mental disturbance.

Forms of Stress

Stress can be *mild, stiff and chronic* in nature.

✓ Mild stress is visible when person develops lack of appetite and high blood pressure.

✓ The stress becomes stiffer if these are not carefully countered.

✓ When stress attains a chronic stage (Burnout), it affects physical efficiency and subsequently a psychological strength. In this stage individual is emotionally weakened, fail to achieve his/her objective, develops instability, frustration and feel uncomfortable and can not cope up with problems.

❑ In case of aggravation of chronic burn-out situation as they are not able cope up with the changed environment a state of “**Trauma**” is reached.

❑ **Trauma** is a very **serious form of stress**. It occurs in the organization where employees find it **difficult to adjust**.

❑ **Possible causes include:**

- ✓ pressure of work,
- ✓ late working hours,
- ✓ inability of employees to fulfil social obligation and
- ✓ poor time management.

GENERAL ADAPTATION SYNDROME (GAS)

It refers to **development of individuals responses to stressful events** in the form of physiological, psychological and behavioral patterns.

These are of three types as classified by Hans Selve:
Alarm, Resistance & Exhaustion

(a) **Alarm Stage:** This is a **warning stage** and occurs as first sign of stress. A person in this stage **wonders how to cope and feels anxiety.**

Symptoms are: muscle tense, increased hormone flow, faster heart beats and high blood pressure.

Solution: Regular physical exercises and expert psychiatric treatment

(b) Resistance Stage: If the alarm stage is not controlled in time, body organs develop resistance, but leave its ill effects. There is increased nervousness, tension frustration and uneasiness in the day to day work environment. Individual develops ulcer/painful, loss of appetite and illness.

(c) Exhaustion: If exposure to the stressor continues past the person's ability to maintain resistance, the person enters the third stage: exhaustion. At this stage, the person literally gives up and can no longer fight the stressor.

❖ Exhaustion results in anxiety, depression, physical illness, dissatisfaction with the job, or other negative consequences.

Common sources of stress

A) *Work-related stressors*

- ✓ ***Task demands***—being asked to do **too much** or **being** asked to do too little.
- ✓ ***Role ambiguities***—not knowing what one is **expected to do** or how work performance is evaluated.
- ✓ ***Role conflicts***—feeling unable to satisfy multiple, possibly conflicting, performance expectations.
- ✓ ***Role overload*** occurs when expectations for the role exceed the individual's capabilities.

Work-related stressors....cont'd

- ✓ ***Ethical dilemmas***—being asked to do things that violate the law or personal values.
- ✓ ***Interpersonal problems***—experiencing bad relationships or working with others who do not get along.
- ✓ ***Career developments***— moving too fast and feeling stretched; moving too slowly and feeling plateaued.
- ✓ ***Physical setting***—being bothered by noise, lack of privacy, pollution, or other unpleasant working conditions.

B) NON-WORK AND PERSONAL STRESSORS

- *Environmental stressors* like family demands and obligation, economic and financial conditions, race, ethnic identity, relocation due to transfer, “spillover” effect from forces in their non-work lives, family events (e.g., the birth of a new child), economic difficulties (e.g. the sudden loss of a big investment), and personal affairs (e.g., a separation or divorce) can all be extremely stressful.

✓ **Personal factors**, such as individual needs, capabilities, and personality. E.g. being highly emotional, low self-esteem.

- E.g. The achievement orientation, impatience, and perfectionism of individuals with Type A personalities, for example, often create stress for them in work settings that others find relatively stress-free.

● CONSEQUENCES OF STRESS

- Health problems: like heart disease and stroke; headaches; backaches; ulcers and related disorders of the stomach and intestines; skin conditions, including acne and hives; sleep disturbances; sexual dysfunction; depression; burnout and family problems. Some people try to cope with stress through drinking, smoking, overeating, and drug use and these tactics can lead to alcoholism, lung and heart disease, obesity, and drug addiction.
- Absenteeism and turnover: stress can contribute to absenteeism by making employees less motivated to be at work and then high rate of turnover.
- Performance problems: Excessive stress can impair performance in a number of ways, e.g. losing concentration....increase presentieeism....etc

N.B: Stress isn't always negative as an influence on our lives. It has two faces—one positive and one negative.

- **Constructive stress (Eustress)** has a positive impact on both attitudes and performance. E.g. Moderate levels of stress by prompting increased work effort, stimulating creativity, and encouraging greater diligence.
- **Destructive stress (Distress)** has a negative impact on both attitudes and performance. Too much stress can overload and break down a person's physical and mental systems resulting in absenteeism, turnover, errors, accidents, dissatisfaction, reduced performance, unethical behavior and even illness.

STRESS MANAGEMENT

Stress management: an active approach to deal with stress that is influencing behavior applying **stress prevention.**

(e.g. **Wellness programs which** involves maintaining physical and mental health to better deal with stress when it occurs like not smoking, weight lose, balanced diet, reducing alcohol usage, and doing physical fitness.

❖ **INDIVIDUAL LEVEL STRATEGIES TO MANAGE STRESS**

- 1. Define objective for Self**
- 2. Plan your life including contingency plan**
- 3. Social Support (family, colleagues, significant others, spouse..etc)**
- 4. Time Management**
- 5. Physical Fitness to** strengthen one's endurance and cardiovascular system
- 6. Involve in activities that help for relaxation and concentration** such as doing yoga, meditation, taking vacation from time to time ...etc.
- 7. Live a simple Life** free from cumbrances

ORGANIZATIONAL LEVEL STRATEGIES

Intervention	Methods
Improving the work environment	✓ Encouraging effective communications ✓ Providing employees with conflict resolution strategies ✓ Exchanging methods to improve productive use of work time, no longer hours ✓ Surveying employees to identify stressors ✓ Managing person-job fit through selection, training, and recruiting employees ✓ Clarifying employees' roles
Providing wellness programs	➤ Exercise and classroom training on stress reduction, smoking cessation, time management; Health screening; Counseling
Changing organizational culture	▪ Providing exercise facility; Providing feedback ▪ Rewarding good work; Involving employees in decision making ▪ Treating employees fairly and honestly

CHAPTER 7

CULTURE AND DIVERSITY

Study objectives with questions:

- What is culture?
- What is a global view on organizational learning?
- Why is globalization significant to organizational behavior?
- How does globalization affect people at work?

Cultures and cultural diversity

What is culture?

- Culture deals with past and current assumptions, experiences, values, attitudes, beliefs, expectations, customs etc.
- Culture is the learned, shared way of doing things in a particular society.
- Culture helps to define the boundaries between different groups and affect how their members relate to one another.
- It is the way in which its members eat, dress, greet and treat one another, teach their children, solve everyday problems, and so on.
- Geert Hofstede, a Dutch scholar and consultant, refers to culture as the **software of the mind**.

- Organizational culture: The values and behaviour that contribute to the unique social and psychological environment of an organization.
- It refers to the system of shared meaning held by the members that distinguishes one organization from other organization.
- Organization Culture is manifested by symbols and rituals rather than through the formal structure of the organization.

Factors Determining Organizational Culture

- **Organization Founder:** Whatever impression founders create about the organization, it continues and develops for a long period of time.
- **Corporate success & shared Experiences:** Corporate success for a long period develops a strong culture. If the members share common experience, it remains in their mind forever.
- **Innovation & risk taking:** Innovative and risk taking employees develop a strong culture.
- **Outcome rather than technique:** Organizations whose managers focus on outcome rather than technique, they develop strong culture

- **Competitiveness:** Organizations whose employees are competitive are actually stronger than non-competitive.
- **Shared interpretation:** Organizations whose members have common perception and thinking about organizational values, norms, they can develop a strong culture

Functions of Organizational Culture

- It distinguishes one organization from another organization. That means it creates brand name for the organization.
- It develops a sense of identity amongst its members.
- It promotes commitment amongst employees to achieve organizational goals.
- It develops appropriate standards for employees & holds them together to achieve those standards.
- It provides a control mechanism for shaping the attitude & behaviour of employees.

Transmission of Organizational Culture/How is culture learnt?

- **Stories:** The stories be these true or false, told to the organizational members can have a profound impact on organizational culture.
- **Symbols:** Examples of symbols include the size of offices, the elegance/style of office furnishing etc. for certain employees.
- **Language:** Organizations use a language in terms of **specific slogan, metaphor/image** to convey special meaning to employees. It symbolizes what the company stands for to both employees and society.
- **Rituals:** Rituals such as **annual function, award ceremonies** etc. reinforce the key values of the organization, which goal is important, which people is important. The annual function is an example of ritual performed in an educational institution.
- **Organizational Change:** The way we individuals change due to age, education, change of job, illness, change in geographical area, organizations also change due to several reasons over a period of

OB & GLOBALIZATION

- **Globalization** involves **growing worldwide interdependence** of resource suppliers, product markets, and business competition.
- As we begin the 21st century, we find ourselves fully in the age of **globalization**.

Why is globalization significant to organizational behavior?

- Most organizations must achieve high performance within a complex and competitive global environment.
- **Globalization involves;**
 - ❖ Complex economic networks of competition,
 - ❖ Resource supplies,
 - ❖ Product markets transcending/go beyonded national boundaries and circling the globe.

Why can't.....

➤ A global economy:

- Information technology and electronic communications have:
 - Promoted a global economy.
 - Created Internet business opportunities.
- Transnational movement of products, trends, values, and innovations.
- Multicultural workforces.
- Commercial investments travel the trade routes of the world.

➤ **Regional economic alliances:**

- **European Union (EU):** is moving forward with its agendas of political, economic, and monetary union among member countries; e.g. Euro currency
- North American Free Trade Agreement (NAFTA).
- Caribbean Community (CARICOM).
- IGAD, ECOWAS...etc
- Asia-Pacific Economic Co-operation Forum (APEC).

Member countries of the EU (year of entry) The European Union has 28 member countries:

Name and year

Austria (1995), Belgium (1958), Bulgaria (2007), Croatia (2013), Cyprus (2004), Czech Republic (2004), Denmark (1973), Estonia (2004), Finland (1995), France (1958), Germany (1958), Greece (1981), Hungary (2004), Ireland (1973), Italy (1958), Latvia (2004),

Name and year

Lithuania (2004), Luxembourg (1958), Malta (2004), Netherlands (1958), Poland (2004), Portugal (1986), Romania (2007), Slovakia (2004), Slovenia (2004), Spain (1986), Sweden (1995) and United Kingdom (1973)

➤ Global quality standards

- ❑ **ISO 9000** used to gain strategic advantage and focuses on quality
- ❑ **ISO 14000** standard for Environmental Management System; Firms minimize harmful effects on environment
 - ISO designation for quality standards.
 - ISO framework for quality assurance worldwide.
 - ISO certification is important for doing business in Europe and developing a reputation as a world-class manufacturer.

➤ Global managers

- A global manager is someone who knows how to conduct business across borders.
- The global manager:
 - Is often multilingual.
 - Thinks with a world view.
 - Appreciates diverse beliefs, values, behaviors, and practices.
 - Is able to map strategy in light of the above.
- **Experienced international managers indicate that a “global mindset” of;**
 - ❖ **Cultural adaptability,**
 - ❖ **Patience,**
 - ❖ **Flexibility, and**
 - ❖ **Tolerance**

Attributes of the effective “global manager”

- Adapts well to different business environments.
- Respects different beliefs, values, and practices.
- Solves problems quickly in new circumstances.
- Communicates well with people from different cultures.
- Speaks more than one language.
- Understands different government and political systems.
- Conveys respect and enthusiasm when dealing with others.
- Possesses high technical expertise for a job.

- **Globalization and people at work**

- OB scholars are increasingly sensitive to the need to better understand how management and organizational practices vary among the world's cultures.

1. **Multinational employers**, 2. **Diversity of multicultural workforces**, 3. **Special dds of int.l work assignments**

A. Multinational employers :

- ✓ ***Multinational corporation*** (MNCs) or ***transnational organizations*** are business firms that have operations in more than one foreign country.
- ✓ MNCs are more than just companies that do business abroad;|| they are global concerns—exemplified by Ford, Royal-Dutch Shell, Sony, Amnesty International, International Red Cross, UN, World Wildlife Fund, WTO...

B. Multicultural workforces

- Styles of leadership, motivation, decision making, planning, organizing, leading, and controlling vary from country to country.

❖ **Domestic multiculturalism**: cultural diversity within a given national population

e.g. Ethiopia- more than 80 ethnicities

❖ **International multiculturalism**: cultural diversity within different national population.

e.g. Establishing & successfully operating a joint venture in Kazakhstan, Nigeria or Vietnam will require a great deal of learning & patience.

C. Expatriate work assignments

- ❖ **Expatriates** - People who work and live abroad for extended periods of time.
- ❖ The cost of an expatriate worker can be very expensive for the employer with the added cost tied **to compensation, benefits, transfer, and other relocation expenses.**

Expatriate **undergoes three phases** of adjustment to the new country.

- **The tourist stage** ___enjoys discovering the new culture
- **Disillusionment stage** ___his or her mood is dampened as difficulties become more evident. Language, food.....
- **Culture shock** ___confusion, disorientation, and frustration in the ways of the local culture

N.B: Fall - back –in problem – difficulties of living at home again after abroad job assignments

Ethical behavior across cultures

Special ethical challenges arise as a result of cultural diversity and the variation in governments and legal systems are:

- ❖ Corruption & bribery in int.l business practices
- ❖ Poor working conditions
- ❖ Employment of child & prison labor
- ❖ Role of int.l business supporting repressive governments that fail to protect & respect the basic human rights of citizens.....etc.

THE END

Chapter 8

Power and Politics

8.1 A Definition of Power

Power: A capacity that *A* has to influence the behavior of *B* so that *B* acts in accordance with *A*'s wishes.

Power is a tool and resource, a means as an end while **politics** represents tactics used by employees to use to manipulate power in organizational setting.

Politics: power in action

8.2. Contrasting Leadership and Power

- Leadership

- Focuses on goal achievement.
- Requires goal compatibility with followers.
- Focuses influence downward.
- main **research focus** is leadership styles and relationships with followers.

- Power

- Used as a means for achieving goals.
- Requires follower dependency.
- Used to gain lateral and upward influence.
- main **research focus** regarding power is power tactics for gaining compliance.

8.3. Bases/sources of Power: Formal Power

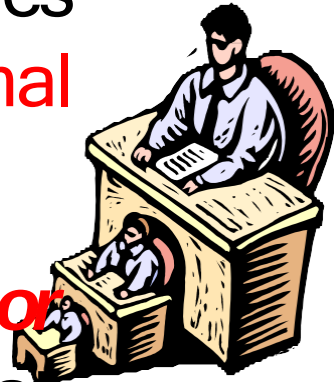
Formal Power: Is established by an individual's position in an organization; conveys the ability to coerce or reward, from formal authority, or from control of information.

There are six-category or classification schemes of sources or bases of power

A) **Coercive Power**: the authority to punish or recommend punishment; A power base dependent on fear; influencer's ability to punish the influencee for not meeting requirements

B) **Reward Power**: ability to bestow rewards- promotion, raise, and pat on the back-to other people; Compliance achieved based on the ability to distribute rewards that others view as valuable.

C) Legitimate Power: The power a person receives as a result of his or her position in the formal hierarchy of an organization.



D) Expert Power: Influence based on *special skills or knowledge*. is based on the perception or belief that the influencer has some relevant expertise or special knowledge that the influencee does not.

E) Referent Power: Influence based on *possession by an individual of desirable resources or personal traits or xics*; is based on the influencee's desire to identify with or imitate the influencer. It a type of power that stems from a leader's ability to inspire and influence others. This authority comes from the extent to which people admire, respect, and like a specific leader.



8.4. POWER VERSUS AUTHORITY

- ✓ **Power** is the ability of one person or department in an organization to **influence other people to bring about desired outcomes**.
- ✓ It is the potential to influence others within the organization, but with the goal of attaining desired outcomes for power holders.
- ✓ Power is an ***intangible force*** in organizations. It cannot be seen but its effect can be felt.
- ✓ Power exists only in a relationship between two or more people, and it can be exercised in either vertical or horizontal directions.

Authority

- Authority is a force for achieving desired outcomes, but only as prescribed by the formal hierarchy and reporting relationships.

Three properties identify authority:

- ❑ Authority is vested in organizational positions
- ❑ Authority is accepted by subordinates
- ❑ Authority flows down the vertical hierarchy- Authority exists along the formal chain of command, and positions

N.B: *Organizational power* can be exercised upward, downward, and horizontally in organizations.

N.B: *Formal authority* is exercised downward along the hierarchy and is the same as vertical power and legitimate power.

8.5. SOURCES OF ORGANIZATIONAL POWER (FORMAL POWER)

- A. **Control over Resources:** Resource allocation creates a dependency relationship.
- B. **Control over Information:** Access to strategic information and the control of the information flow to, from, and between subunits are sources of considerable power in the decision - making process. E.g. Doctors & mechanics in garage
- C. **Non-substitutability:** If **no one else can perform the tasks** that a person or subunit performs, that person or subunit is non-substitutable.
- D. **Network Centrality:** **Top managers can locate themselves centrally** in an organization. By placing managers whom they know in critical positions, top managers increase their power.
- E. **Control of Decision Premises:** **placing constraints on decisions** made at lower levels by specifying a decision frame of reference and guidelines.

8.6. Organizational Politics (Use of power)

- ❑ *Organizational politics is a process of acquiring, developing and using power and other resources to obtain one's preferred outcome when there is uncertainty or disagreement about choices.*
- ✓ **Politics is the use of power to influence decisions in order to achieve desired outcomes.**
- ✓ Politics is neutral and is not necessarily harmful to the organization.

8.7. DOMAINS OF POLITICAL ACTIVITY

- A) Structural change (Restructuring or reorganization):** it strikes at the heart of power and authority relationships.
- B) Interdepartmental Coordination:** Relationships between major organizational departments typically are not well defined and become the main source of conflict.
- C) Management succession:** involves hiring new executives, promotions, and transfers.
- ❖ Managers can use hiring and promotion to strengthen network alliances and coalitions by putting their own people in prominent positions.
- D) Resource allocation:** decisions regarding org. resource allocation like salaries, operating budgets, employees, office facilities, equipment and so forth and their scarcity are so vital that disagreement about priorities exists, and political processes help resolve the dilemmas.

8.8. TACTICS FOR PLAYING POLITICS

- How to increase their chances of winning the political game?

A) INCREASING INDISPENSABILITY

- ❖ Indispensability can be achieved by an **increase in non-substitutability or an increase in centrality**.
 - i. **Increasing non-substitutability** -develop specialized **organizational skills** that allow them to solve problems for other managers e.g. specialize in an area of increasing concern to the organization - such as international trade regulations, pollution control, or health and safety
 - ii. **Increasing centrality: making oneself more central to an organization**. E.g. via **deliberately accepting responsibilities** that bring her/him into contact with many functions or with many managers so that they can enhance their personal reputation and that of their function.

- ### B) ASSOCIATING WITH POWERFUL MANAGERS:
- By supporting a powerful manager and making oneself indispensable to that person b/c **managerial succession** is an important task of top managers.

C) BUILDING AND MANAGING COALITIONS:

Coalitions: Clusters of individuals who temporarily come together to achieve a specific purpose.

- ❖ *Coalition building*= taking the time to talk with other managers to persuade them to your point of view. Most important decisions are made outside formal meetings.
- ❖ Managers discuss issues with each other and reach agreement on a one-to-one basis.



D) INFLUENCING DECISION MAKING: via 2 ways:

- i. Controlling the agenda-** managers and coalitions are able to control the issues and problems to be considered by important decision makers.
- ii. Bringing in an outside expert-** When a major conflict exists, such as when top managers are deciding how to change or restructure the organization, all managers and coalitions know that individuals and groups are fighting for their interests.
 - Every subunit manager wants the axe/discourage to fall on other subunits and wants to try to benefit from whatever change takes place.
 - The supposedly/evidently objective views of the expert are then used to support the position of the coalition in power.

8.9. MANAGERIAL IMPLICATIONS: POWER AND POLITICS

- ✓ Recognize that politics is a fact of organizational life, and develop the skills to understand how politics shapes organizational decision making.
- ✓ **Develop a personal power base to:**
 - Influence decision making, and
 - Use it to prevent political managers or groups from pursuing their interests at the expense of organizational interests.

To obtain power:

- ❖ Try to associate with powerful managers and
- ❖ Find a powerful mentor,
- ❖ Make yourself central and non substitutable,
- ❖ Develop personal skills so that you can reduce uncertainty for other subunits or for the organization,
- ❖ Seek membership on committees that will give you access to information, and
- ❖ Obtain control of organizational resources.
- ✓ Seek to maintain a power balance between individuals or subunits in an organization in order to preserve the quality of organizational decision making.

To sum up.....

When you go to work, what **three** things
can you do to make people in your
organization dependent on you?
Discuss with your neighbor!

Do you think it's bad to plan how
you'll get power over others?

The end!

CHAPTER 9

ORGANIZATIONAL STRUCTURE AND DESIGN

9.1 ORGANIZATIONAL STRUCTURE & DESIGN

- An **organizational structure** is how job tasks are formally divided, grouped, and coordinated within an organization.

□ **Organizational structure** refers to the

- ❖ Division of labor/ Work specialization
- ❖ Patterns of communication,
- ❖ Coordination,
- ❖ Workflow, and
- ❖ Formal power that direct organizational activities.
- ✓ It reflects its culture and power relationship.

Organizational Design

- ❑ **Organizational design** is the creation and modification of organizational structure to achieve the goals.
- ✓ It begins with the organization's goals, which are broken into tasks as the basis for jobs.
- ✓ When managers develop or change the structure, they are engaged in organizational design, a process that involves decisions about six key elements.
 1. Work specialization: the degree to which activities or tasks in an organization are broken down and divided into individual jobs.
 2. Departmentalization: divided jobs up through work specialization
 3. Chain of command: unbroken line of authority
 4. Span of control:
 5. Centralization and decentralization:
 6. Formalization: the degree to which jobs within the organization are standardized.

9.2 Basic Concepts of the Organizational Structure and Design

1) Line, Staff, and Functional Authority

Authority refers to the rights inherent in a managerial position to give orders and expect the orders to be obeyed.

- i. Line Authority: Line authority is the responsibility to make decisions and issue orders down the chain of command. Marketing and production are usually line departments.
- ii. Staff Authority: Staff authority is the responsibility to advise and assist other personnel, e.g. law support, public relation, data processing...etc.
- iii. Functional Authority: Functional authority means that the staff can issue orders down the chain of command within the very narrow limits of his or her authority.

❖ **For ex**, a payroll Manager may order a line manager to have employees fill in time cards to specifications.

2) Unity of Command

- It means that each employee should report to only one manager /boss.

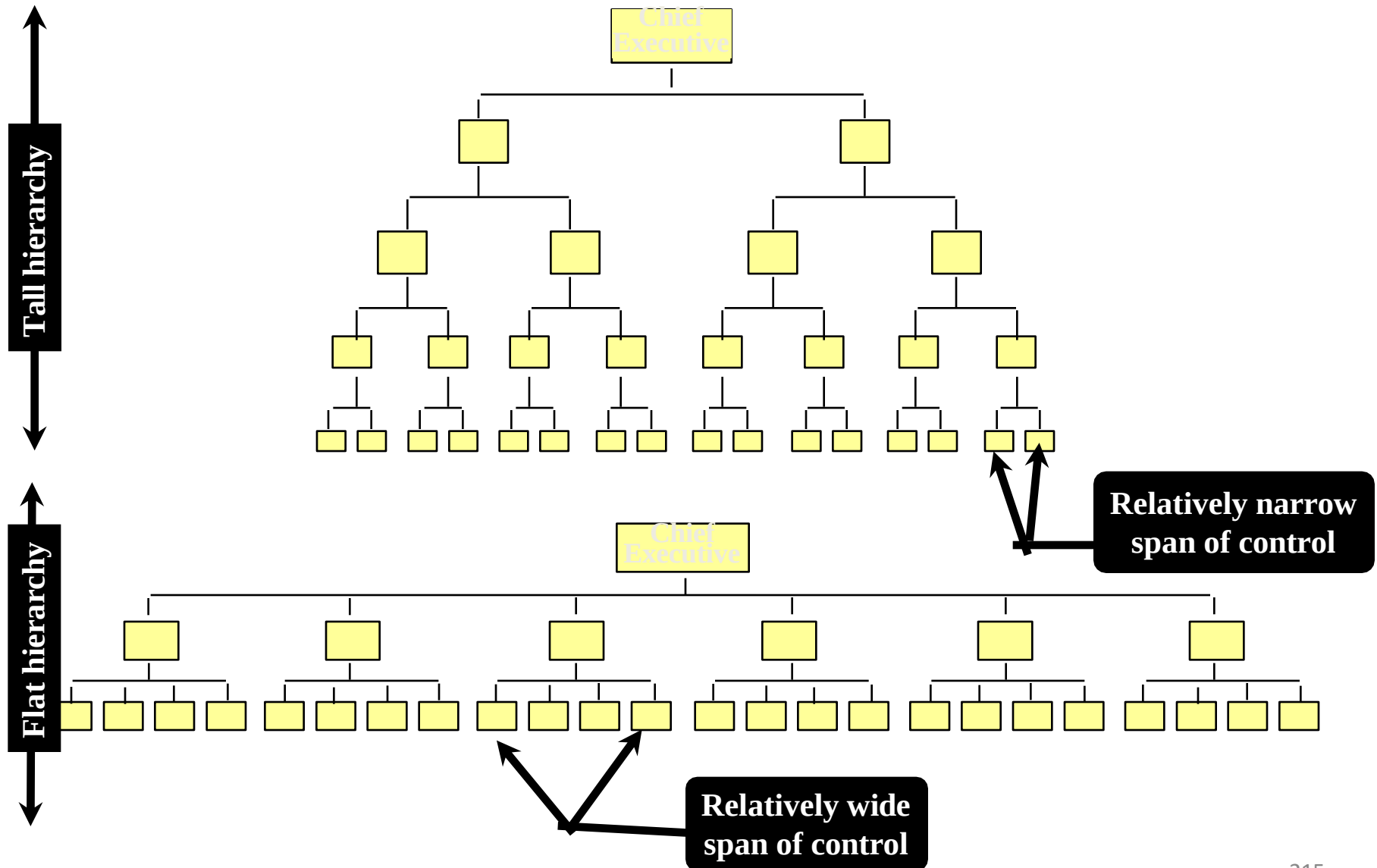
3) Chain of Command (Scalar Principle)-unbroken line of authority

- The chain of command forms a hierarchy and is illustrated in the organization chart.
- All members of the organization should know to whom they report, and who, if anyone reports to them.
- The chain of command also identifies the formal path of communication.
- It is generally wise to handle the organization affairs through the chain of command.

4) Span of Control / Management

- ✓ It refers to the number of employees reporting to a manager.
- The proper span of control depends on the nature of the work, management methods, subordinate ability, personalities, congruency of goals, organization size, self-control, and the manager's ability to supervise employees effectively.
- **Positive** factors of a **Wide Span (Flat orgn)** include Delegation of Authority, Clear Policies, and Positive Behavioral effects on employees who have more freedom.
- **Positive** factors of a **Narrow Span (Tall orgn)** include Close Supervision, Control, and Fast Communication.

Tall versus Flat Organizations: Comparison



5) Power

- Power is the **ability to exert influence on other people**; ie, the ability to change the attitudes or behavior of Individuals or groups.
- In organizations, this often means the ability to get things done or accomplish one's goals despite resistance from others.

6) Delegation

- Delegation is **the process of assigning responsibility and authority for accomplishing objectives down the chain of the command**.
- The primary reason for delegation is to enable the manager to get more work done. Subordinates help ease the manager's burden by doing major portion of the organization's work.

7) Centralization and Decentralization

- Centralization is the process of systematically retaining power and authority in the hands of Top- level managers.
- Decentralization is the process of systematically delegating power and authority throughout the organization to middle- and lower-level managers.
- With centralized authority, Top managers make important decisions.
- With decentralized authority, Middle- and First-level managers make important decisions.

8. DEPARTMENTALIZATION / DEPARTMENTATION

- ❖ It is the process of grouping/ combining jobs into groups or manageable units.
- ❖ The main bases for departmentalization are Function, location or geography, Product, Customer, process and multiple departmentalization.

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9.3. OBJECTIVES OF ORGANIZATIONAL DESIGN

- Managers design an organizational structure to achieve the following important objectives.
- 1. Create New Institution for New Organization**
 - 2. Respond to Change:** For an organization to stay adaptive, it must respond to the changes in the dynamic environment.
 - 3. Integrating New Elements:** As organizations **grow, evolve/advance, and respond to changes** they add new positions and new departments to deal with external factors or with new strategic needs.
 - 4. Coordinate the Components:** Managers need to find a way to **tie all the departments together** to ensure coordination and collaboration across the departments.
 - 5. Encouraging Flexibility:** Organizational designers build into the organization the flexibility for decision-making, for responding and redirecting energies, and for spotlighting people's talents.

9.4. OUTCOMES OF ORGANIZATIONAL DESIGN

Mechanistic

- **High formalization**
- **Narrow span of control**
- **High centralization**
- **Have many Rules and Procedures**
- **Limited decision-making at lower levels**
- **Tall hierarchies**
- **Vertical flow of communications**
- **Tasks are rigidly defined**
- **The environment is stable and predictable**

Organic

- **Low formalization**
- **Wide span of control**
- **Low centralization**
- **Wide span of control,**
- **Decentralized decision-making.**
- **Tasks are fluid**
- **Found in *volatile market* and *technology sectors***

9.5. FACTORS AFFECTING THE ORGANIZATIONAL DESIGN

Strategy, Organization Size, Technology, Environment, and Organizational Life Cycle

1) Strategy

❖ Structure **should follow strategy**. If management makes a significant change in its organization's strategy, the structure will need to be modified to accommodate and support this change.

Eg1. A company may decide that it will produce a product already on the market **more efficiently and more cost effectively** (cost-leadership strategy). **Cost leadership strategy** = Mechanistic, Functional structure with high level of job specialization and standardized work processes.

Eg2. A company may decide to be always the first on the market with the newest and best product (differentiation strategy). **Differentiation strategy** = Organic structure with less centralization and formalization.

2) Organizational Size (*number of employees it has*)

- ✓ An organization with a **handful/few of employees** probable can coordinate work informally. It may function effectively with a simple, undifferentiated structure = **organic structure**.
- When an organization **has more than approximately 50 people** = **Mechanistic structure**.

3) Technology

- Technology refers to how an organization transfers its inputs into outputs.
- **Technologies** can be classified as **Small-batch (Unit), Mass, and Continuous** process production.

I Small-batch pch requires flexibility and so **needs organic structure**.

II Mass pch requires efficiency through standardization and so **needs mechanistic structure**.

III Continuous process pch requires decentralized **responses to unpredictable problems** and so **need organic structure**.

4) Environment

- **Organic** structures are suitable for **dynamic (hostile) environments** so that the organization can adapt more quickly to changes.
- **Mechanistic** structures tend to work best when the environment is **stable** (Munificent/Liberal environment) and the events are **more predictable**, enabling the organization to apply rules and procedures.

5) Organizational Life Cycle: 4 stages

- ✓ **1st stage** is the Birth of the organization= **organic and informal**
- ❖ This usually leads to Formalization, Specialization, Standardization, Complexity, and a more Mechanistic structure.
- ✓ **2nd stage**, Youth, is **characterized by growth and the expansion of all organizational resources**. The organization becomes more **organic in structure**
- ✓ **3rd stage**, Midlife, is a period of gradual growth evolving eventually into stability. The organization becomes older, it may also become more **mechanistic in structure**.
- ✓ **4th stage**, Maturity, is a period of stability, perhaps eventually evolving into Decline.
- If the organization **responds to dynamic env.t, it becomes more organic and revives.**

9.6. Types of organization structure

1. Bureaucratic Structures: It maintain strict hierarchies when it comes to people management.

- These structures have a certain degree of standardization.
- When the organizations grow complex and large, bureaucratic structures are required for management.
- These structures are quite suitable for tall organization

2. Functional Structure:

- ❖ The organization is **divided into segments based on the functions** when managing. This allows the organization to **enhance the efficiencies of these functional groups.**

❖ **Advantages of Functional Structure**

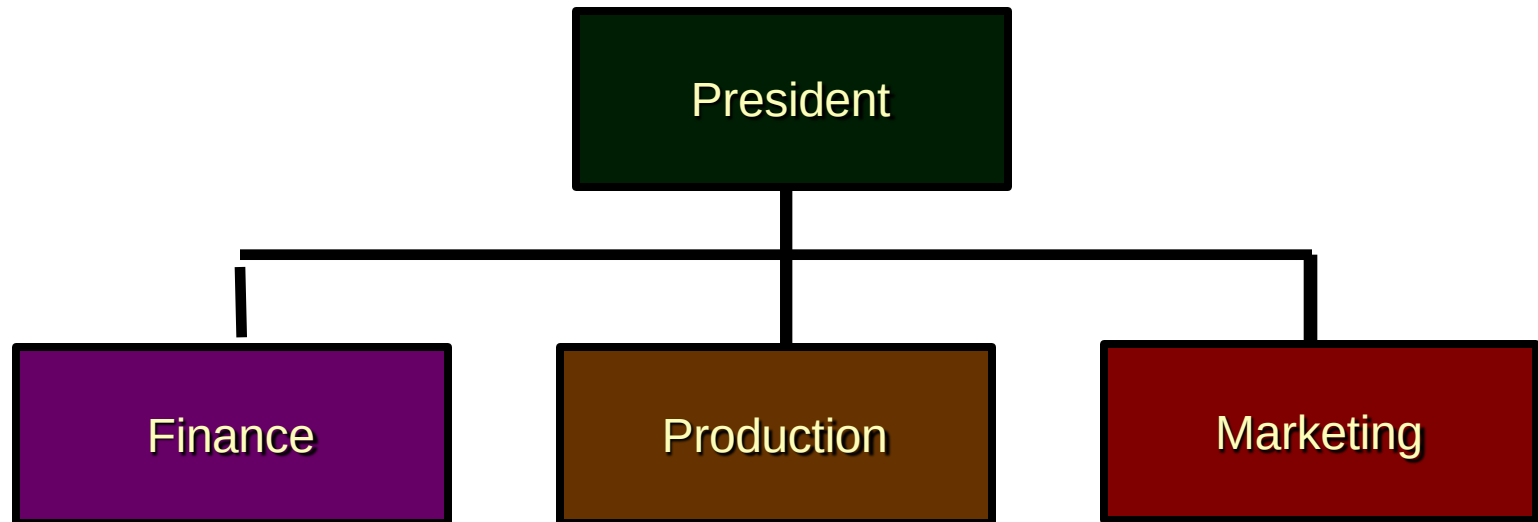
- ✓ It fosters professional identity and clarifies career paths.
- ✓ It permits greater specialization so that the organization has expertise in each area.
- ✓ Direct supervision is easier because managers have backgrounds in the functional area.
- ✓ Creates common pools of talent that typically serve everyone in the organization.

❖ **Disadvantages of Functional Structure**

- Promotes differentiation among functions and hence has higher dysfunctional conflict and poorer coordination with other work units.
- Tends to emphasize subunit goals over that of super ordinate organizational goals.
- Communication problems arise between groups because of their differences in their orientation

eg. Functional Organizational Structure

- Organizes employees around skills or other resources (marketing, production)
- Create subordinate goals



2) Divisional / Geographical / Product / Market Structure

- ❖ It groups employees around Outputs (Products & Services), Clients, or Geographical Areas.
- ❖ It is also called Strategic Business Units (SBU) because they are normally more autonomous than functional structure and may operate as subsidiaries rather than departments of the organization.

Advantages

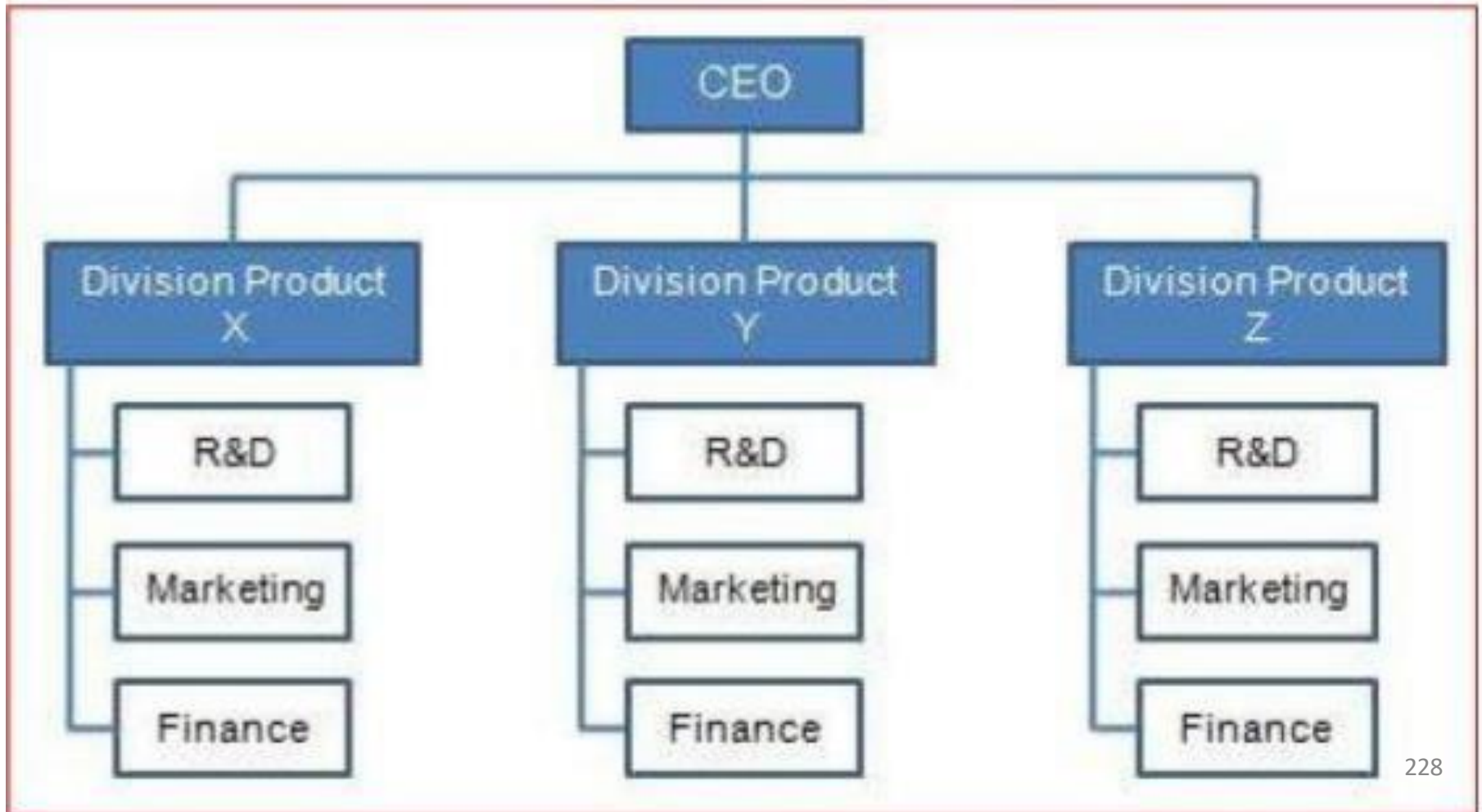
- It allows organization to respond to heterogeneous environment
- Reduce the liabilities of a diverse product mix by emphasizing rather than ignoring it.
- Gives more flexibility and output focus to employees
- Brings the diverse expertise of various functional specialists to bear on problems associated with the particular product, project, or client.

Disadvantages

- It creates significant duplication of knowledge throughout the organization.
- It tends to reduce cooperation across groups.

eg. Divisionalized Structure

- ❖ Organizes employees around outputs, clients, or geographic areas
- ❖ These divisions have their own marketing teams, finance teams, etc.



3) Matrix Structure

- It is a hybrid form of organization in which **Functional and Divisional forms overlap.**
- Managers and staff **personnel report to two bosses- a functional manager and a divisional manager.**
- Best when an **organization needs to deal with new or technically sophisticated products in rapidly changing markets.**

Advantages of Matrix Structure

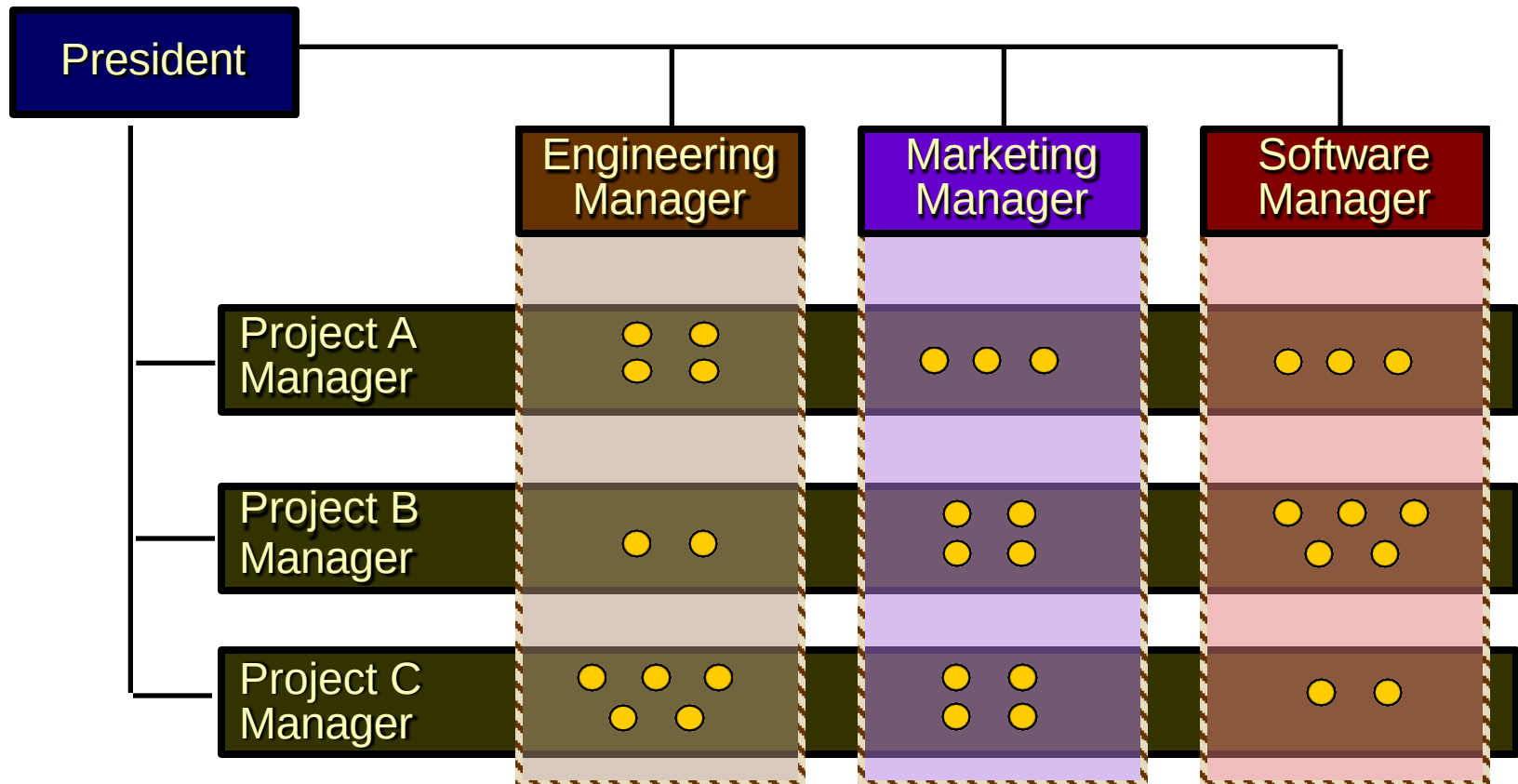
- ❖ Reduce the functional barriers and overcome the barriers of subunit orientation.
- ❖ opens up communication between functional specialists.
- ❖ Enables an organization to maximize its use of skilled professionals, who move from product to product as needed.
- ❖ Promotes concern for both Cost and Quality.

Disadvantages of Matrix Structure

- ✓ It requires more coordination
- ✓ Existence of two bosses dilutes accountability: Violates unity of command
- ✓ It also tends to generate conflict, organizational politics, and stress.

Matrix Structure

Employees are temporarily assigned to a specific project team and have a permanent functional unit



TECHNOLOGY AND JOB DESIGN READING ASSIGNMENT

The end!